BYLAWS

Of the Ychad.Eth Yearn BORG

as adopted on [_____]

PREAMBLE

These Bylaws constitute the official bylaws of the **Ychad.ETH Yearn BORG**, an exempted limited guarantee Foundation Company incorporated in the Cayman Islands registered and filed as No. [___] on [___] with limited liability (the "***BORG***"), duly adopted by the Board of Directors (as defined below) on the date above.

These Bylaws are a legal agreement and contract binding on the BORG Personnel, enforceable in accordance with their terms under the laws of the Cayman Islands. The Board shall require, as a condition precedent to engagement of any BORG Personnel, such BORG Personnel to execute and deliver to the BORG a BORG Participation Agreement (as defined below).

Certain capitalized terms used in these Bylaws are defined on Exhibit A.

BYLAWS

1 BORG OVERVIEW

1.1 General Nature of the BORG as a "cybernetic organization"; Use of Mandatory Autonomous Systems

1.1.1 The BORG is intended to be considered a "cybernetic organization"— a legal entity contractually mandating the use of certain autonomous technology systems (including certain Multisigs) (the "***Mandatory Autonomous Systems***") for the holding or management of certain of the entity's assets or the conduct of the entity's operations, functions, purposes and/or governance, as further prescribed in these Bylaws

1.1.2 The Mandatory Autonomous Systems are:

1.1.2.1 the Smart Contract with address 0xFEB4acf3df3cDEA7399794D0869ef76A6EfAff52 on Ethereum and the Smart Contract it serves as proxy for (currently the Smart Contract at 0xd9Db270c1B5E3Bd161E8c8503c55cEABeE709552 on Ethereum) (the latter Smart Contract, the "***Ychad Multisig***"); and

1.1.2.2 the MetaLeX BORG Systems for Ychad.

1.2 Permitted Purposes

The permitted purposes of the BORG (the "***Purposes***") are to, on a purely volunteer *ad hoc*, episodic basis and without obligation or liability for continuity, promptness, or quality of efforts:

1.2.1 through the Ychad Multisig, to utilize the Blockchain Tokens held by the Ychad Multisig (or any proceeds thereof, including conversions of such Blockchain Tokens into fiat currencies) to provide grants, funding, compensation, financing, loans, payment for works-for-hire, or other monetary assistance, in each case, as necessary or desirable to obligate, incentivize or reward persons to engage in services, activities, or create deliverables, in each case, that are reasonably expected to be of material benefit to the Community Systems or the Community, including compensation to the Ychad Multisig Members;

1.2.2 utilize the Ychad Multisig's permissions over the Community Systems, to prevent, stop, limit, defend against, or mitigate the adverse effects of, any Security Threats;

1.2.3 through the Ychad Multisig, to co-approve, veto or execute proposals that have been approved by DAO Approval, or to submit to the DAO for co-approval, veto, or execution proposals that have been approved by Ychad Multisig Approval, to the extent such proposals or the subject matter thereof are subject to such co-approval, veto, or execution by virtue of the Mandatory Autonomous Systems, the Community Systems, or otherwise;

1.2.4 to research, develop, and publish the Protocols and deploy Smart Contracts based on the Protocols;

1.2.5 to continue any other use of the Ychad Multisig established by the ordinary course of conduct prior to June 1, 2025;

(the uses of the Ychad Multisig and its Blockchain Tokens and powers described above in Sections 1.2.1 through 1.2.5, the "***Authorized Uses***"); ;

1.2.6 to own, hold and manage any intellectual property rights, software platform accounts, domain names, servers, social media accounts, passwords, credentials, or other offchain properties or rights related to the Community or the Protocols;

1.2.7 to adhere to and enforce the provisions of these Bylaws;

1.2.8 to hold and use any Blockchain Tokens owned by the BORG in support of the upkeep and maintenance of the BORG (including its continued corporate good standing) and the pursuit of the Authorized Uses; and

1.2.9 to do all such other things as are or may be necessary or desirable for any or all of the above-referenced purposes.

1.3 Principles

In pursuing the Purposes or otherwise acting in connection with or utilizing any assets of the BORG, the BORG Personnel shall take into account and seek to adhere to the following principles (the "***Principles***"):

1.3.1 The Community Systems and their security and utility exist for the benefit of the entire Community and should be fostered and preserved as such by and for the Community. Autonomy and decentralization are core values of the Community, according to which:

1.3.1.1 the Community Systems should be autonomous—i.e., should minimize the need for arbitrary, discretionary or continuous intervention or control by or trust in any particular person or group of extrinsically affiliated or associated persons;

1.3.1.2 any residual power of persons over the Community Systems should be sufficiently decentralized among independent members of the Community who are incentivized to adhere to the Principles in exercising such power; and

1.3.1.3 the availability and functioning of the Community Systems should be neutral and non-discriminatory toward ideological, political, geographical, national, religious, moral, racial, ethnic, gender-based and economic classifications, except to the extent that any of the foregoing are intrinsically incompatible with the other Principles.

1.3.2 The goals, norms, values, and principles for the Community Systems described in:

1.3.2.1 The Bluepill (https://yfistory.org/thebluepill)

1.3.2.2 "How We Think About Yearn" aka "The Yearn Manifesto" (https://gov.yearn.fi/t/how-we-think-about-yearn/7137)

(the foregoing, the "***Yearn Values Documents***").

1.3.3 The Community Token's function, utility, distribution to and between, value, and good faith use in relation to, and within the parameters of, the Community Systems by, knowledgable, incentive-aligned, and Principles-supporting Community members, are integral to the security, functioning, and alignment of the Community and Community Systems. .

1.3.4 "***Community***" means all natural and legal persons:

1.3.4.1 who own or have another beneficial or economic interest in the Blockchain Tokens on deposit in the Community End-User Systems or the economic rewards (such as trading fees, "yield," or liquidity-provisioning incentives) accruing in respect of such deposits as intended by the Protocols ("***Depositors***');

1.3.4.2 who effectuate transactions in Blockchain Tokens in, through, or by means of or otherwise use the Community End-User Systems in an end-user capacity as intended by the Protocols;

1.3.4.3 who operate keeper bots, liquidation bots, or other similar infrastructure necessary or desirable for the functioning of the Community Systems as intended by the Protocols;

1.3.4.4 who have voting power in the DAO;

1.3.4.5 who own or have another beneficial or economic interest in the Community Token or Representational Community Tokens; or

1.3.4.6 who devote a substantial amount of their time or resources to researching, developing, promoting, governing, or performing coordination with respect to the Protocols or the Community Systems (including the Ychad Multisig Members),

in each case, solely in their capacities as such.

1.3.5 In pursuing the Authorized Uses of the Ychad Multisig referred to in Article 1.2.2 to the extent relating to Security Incidents or Security Vulnerabilities, the Ychad Multisig Members shall treat the financial interests of the Depositors (in their capacities as such) in their Blockchain Tokens on deposit in the Community End-User Systems as primary, but may additionally weigh other Community interests. In pursuing the Authorized Use of the Ychad Multisig referred to in Article 1.2.2 to the extent relating to Governance Attacks, the Ychad Multisig Members shall treat the financial interests and legal risks of the DAO and its participants, the Community Token holders and Representational Community Token holders (in each case, in their capacities as such, and excluding the persons responsible for or knowingly facilitating the Governance Attack) as primary, but may additionally weigh other Community interests.

1.4 Transparency

The BORG shall publish and keep publicly available an up-to-date copy of these Bylaws (including the Exhibits and Schedules) on one or more public URLs known to, and accessible by, the Community, and shall promptly publish an announcement of any updates to these Bylaws (including the Exhibits and Schedules) in one or more social media channels or websites known to, and accessible by, the Community.

1.5 Offices

The sole registered office of the BORG as of the date of adoption of these Bylaws is at c/o International Corporation Services Ltd., Harbour Place, 2nd Floor, 103 South Church Street, P.O. Box 472, George Town, Grand Cayman KY1-1106, Cayman Islands and shall remain so unless and until changed by the Board.

1.6 Bodies

1.6.1 The BORG shall be governed by the following bodies (the "***Bodies***"), each in accordance with these Bylaws: (a) the Board; and (b) the Ychad Multisig.

1.6.2 Each Body shall be deemed a part of, to act solely for and on behalf of, and to have no legal existence separate or apart from, the BORG. Each Body shall be independent of the other Bodies, and no Body shall have any power or authority over any other Body, in each case, except as expressly set forth in these Bylaws. Except to the extent expressly provided otherwise in these Bylaws, any power, right or obligation expressly assigned to a Body under these Bylaws is exclusively allocated to such Body and shall not be preempted, voided, impeded, frustrated, arrogated or impaired by any other Body.

1.7 Not-For-Profit; No Members/Owners.

The BORG is a not-for-profit independent legal entity solely pursuing, and governed solely by, the Purposes, in a manner consistent with the Principles, rather than being devoted to the profits or other general benefits or general interests of any particular persons (including the BORG itself, the BORG Personnel or any particular Body or Community member). The BORG shall have no legal members, shareholders, owners, or beneficiaries and, for the avoidance of doubt, the Community (and any members thereof) shall not be or be deemed a beneficiary of the BORG.

1.8 Funds Ownership

Any Blockchain Tokens held in or controlled by any Ychad Multisig ("***Ychad Multisig Funds***") shall be managed by or under the direction of the Ychad Multisig Members, in accordance with the Authorized Uses, pursued in light of the Principles, in accordance with the voting schema embodied in the Ychad Multisig.

2 BORG PERSONNEL

The Directors, Officers, Supervisors and other employees, independent contractors and other agents and representatives of the BORG are referred to herein as "***BORG Personnel***". Details of certain BORG Personnel are set forth below.

2.1 Directors

2.1.1 General.

2.1.1.1 The directors of the BORG are referred to herein as the "***Directors,***" shall each be a member of the Board of Directors of the BORG (the "***Board***") and shall have such rights and obligations as are specified in these Bylaws. Except when there is a sole Director or when individually delegated specific powers or authorities by the Board, the Directors shall not have any individual powers or authority, but shall act as and through the Board.

2.1.1.2 When there is a sole Director, such Director shall have all the powers of the Board without any meetings, resolutions, votes, actions by written consent, or similar Board formalities being required.

2.1.2 Election Of Directors.

2.1.2.1 *Initial Directors.* The initial Director shall be Jefferson Monagre.

2.1.2.2 *Subsequent Directors.* Subsequent Directors may only be elected by Ychad Multisig Approval.

Elections of Directors may be held at any time and from time to time with or without prior notice to the Multisig members.

2.1.3 Term of Directors. Each Director, including a Director elected to fill a vacancy, shall hold office from and after the time such Director's election (and acceptance thereof) until the earlier of such Director's resignation, death (if an individual), dissolution (if an entity) or removal.

2.1.4 Resignation, Death, or Dissolution of Directors.

2.1.4.1 Any Director may resign at any time upon written notice to the Ychad Multisig, whereupon such Director shall cease being a Director upon the effective time specified in that notice. Unless otherwise specified in that notice, the acceptance of the resignation shall not be necessary to make it effective. Any resignation is without prejudice to the rights (if any) of the BORG under any contract to which the Director is a party.

2.1.4.2 A Director shall automatically cease being a Director upon such Director's death (if the Director is a natural person) or dissolution (if the Director is an entity).

2.1.5 Removal Of Directors. Unless otherwise restricted by statute, by the Charter or by these Bylaws, any one or more Directors may be removed, with or without cause, by, and only by the Ychad Multisig.

2.2 Ychad Multisig Members

2.2.1 General. The Multisig Members of the Ychad Multisig are referred to herein as "***Ychad Multisig Members***" and shall have such rights and obligations as are specified in these Bylaws. The purposes of the Ychad Multisig Members shall be to serve on the Ychad Multisig. The Ychad Multisig Members shall not have any individual powers or authority.

2.2.2 Appointment Of Ychad Multisig Members.

2.2.2.1 *Initial Ychad Multisig Members.* The initial Ychad Multisig Members shall be the set of persons who are Ychad Multisig Members on the date of first adoption of these Bylaws by the Board.

2.2.2.2 *Subsequent Ychad Multisig Members.* Subsequent Ychad Multisig Members may only become Ychad Multisig Members by both: (a) Ychad Multisig Approval; and (b) DAO Approval.

2.2.3 Facilitation of Ychad Multisig Member Appointments. The Directors and Ychad Multisig Members shall use their commercially reasonable best efforts to ensure that, prior to becoming a Ychad Multisig Member, each person who is to become a Ychad Multisig Member, first has executed and delivered to the BORG a BORG Participation Agreement in substantially the form attached hereto as Exhibit B (a "***BORG Participation Agreement***"); *provided, however,* that if, notwithstanding such efforts, a person becomes a Ychad Multisig Member without having satisfied the preceding conditions, the Directors and Ychad Multisig Members shall use their commercially reasonable best efforts to cause such conditions to be satisfied as promptly as reasonably practicable, and, if such conditions could not reasonably be expected to be satisfied in the near future, to use commercially reasonable best efforts to notify the Community that no BORG Participation Agreement has been obtained from such Ychad Multisig Member and the potential consequences of this failure.

2.2.4 Removal of Ychad Multisig Members. A Ychad Multisig Member may only be removed from the Ychad Multisig by: (a) both (i) Ychad Multisig Approval; and (ii) DAO Approval; or (b) resignation as described below.

2.2.5 Facilitation of Ychad Multisig Member Removals.

2.2.5.1 *General Facilitation of Removals.* The Ychad Multisig Members and other BORG Personnel shall use their commercially reasonable best efforts to ensure that any person who should be removed from the Ychad Multisig based on the provisions of these Bylaws (including this Article 2.2.5) is removed from the Ychad Multisig, as promptly as reasonably practicable. If a Ychad Multisig Member is removed in accordance with Article 2.2.4, the BORG, the other Ychad Multisig Members and other BORG Personnel shall use their commercially reasonable best efforts to terminate the applicable BORG Participation Agreement, these Bylaws with such removed Ychad Multisig Member.

2.2.5.2 *Resignation and Removal.*

(a) A Ychad Multisig Member may resign from any Ychad Multisig at any time by effectuating an onchain transaction that removes such Ychad Multisig Member from the Ychad Multisig or by giving written notice of resignation to the BORG and the other Ychad Multisig Members.

(b) If a Ychad Multisig Member delivers (and does not revoke) a written notice of resignation from the Ychad Multisig in accordance with the preceding clause '(a)' and otherwise in accordance with these Bylaws, the Ychad Multisig Members shall use their commercially reasonable best efforts to facilitate, allow or cause such person to be removed from the Ychad Multisig in accordance with Article 2.2.4 by the effective time of resignation stated in such notice, or as promptly as reasonably practicable thereafter.

2.3 Supervisors

2.3.1 Minimum Number

The BORG shall at all times have at least one supervisor (the "***Supervisor***") who is able and willing to supervise the management of the BORG. The initial Supervisor shall be MetaLeX Labs, Inc., a Delaware corporation.

2.3.2 General Powers

Subject to the limitations in these Bylaws, the Supervisor shall use commercially reasonable efforts to monitor the BORG's adherence to its own rules and to notify the Community of any material breach of such rules that is not reasonably expected to be reasonably promptly cured or remedied. The Supervisor may also demand information from the BORG or BORG Personnel, with reasonable notice, at any time, and also demand that such information be presented to the Supervisor in the form of periodic reports. The Supervisor shall additionally have any other powers, rights and obligations set forth under Caymans Law for a 'supervisor'.

2.3.3 Emergency Supervisory Powers

If there has been an Adverse Event, then, solely to the extent necessary or desirable to investigate, resolve, hold persons liable for, or otherwise handle such Adverse Event or its consequences, the DAO may, by DAO Approval, temporarily grant the Supervisor emergency powers to:

2.3.3.1 enforce the rules of the BORG and act in the name of and represent the BORG and to bring claims in the name of the BORG, in each case, solely to the extent necessary or desirable to handle the applicable Adverse Event;

2.3.3.2 appoint an interim Director if there is no other Director as a result of or in connection with the Adverse Event, or the existing Director cannot reasonably be expected to act in good faith and in compliance with these Bylaws as a result of or in connection with the Adverse Event, and there cannot reasonably be expected to be appointed a replacement Director in the ordinary course;

2.3.3.3 seek the removal of any one or more Director(s) or Multisig Members or other BORG Personnel who have committed or knowingly and intentionally assisted in the commission or furtherance of an Adverse Event;

2.3.3.4 initiate and pursue legal proceedings by, on behalf of or in the name of the BORG against one or more Director(s), Multisig Member(s) or other BORG Personnel who have committed or knowingly assisted in the commission or furtherance of an Adverse Event;

in each case, subject to the requirement that the Supervisor, in acting for, on behalf of, at the direction of, or using the resources of the BORG and in accordance with the contractual provisions of these Bylaws, shall set aside their direct and indirect personal interests, and shall solely act in furtherance of the Purposes in accordance with the Principles (the "***Emergency Powers***").

In order for the Emergency Powers to be activated, the Supervisor must affirmatively accept that an Adverse Event has occurred and that the Supervisor will assume the Emergency Powers, by written notice to the DAO (e.g. by publishing such notice on one or more public URLs or social media channels known to and accessible by the Community) and the BORG within 30 days after the date of the relevant DAO Approval, and the Emergency Powers shall be deemed automatically effective on the date of the last such notice delivered. Failure to affirmatively accept that an Adverse Event has occurred or to assume the Emergency Powers as set forth above shall automatically be deemed a rejection thereof on the 30th day after the relevant DAO Approval. Once the Adverse Event has been handled in accordance with all applicable DAO Approvals, the Supervisor shall publicly terminate and divest itself of the Emergency Powers. The Supervisor is prohibited from retaining the Emergency Powers for longer than necessary to deal with the particular Adverse Event at issue or for longer than 12 months, whichever period is shorter, unless renewed by a new DAO Approval. The Emergency Powers may be terminated at any time by a DAO Approval approving such termination.

Notwithstanding any other provision of these Bylaws, the existence, threat or pendency of any Dispute by a BORG Personnel regarding whether Emergency Powers were properly granted or regarding the scope of Emergency Powers (including any Dispute regarding the existence of an Adverse Event forming the basis of a DAO Approval of Emergency Powers) shall not excuse any breach or non-performance of these Bylaws by any BORG Personnel or any duty owed to the BORG by any BORG Personnel, and all performance obligations and duties shall continue to apply to all such BORG Personnel during such Dispute.

For purposes of this Section, "***Adverse Event***" means (a) any fraud or commission of a felony-level crime or crime of moral turpitude committed by or on behalf of the BORG or any BORG Personnel that could reasonably be expected to have a material adverse impact on the BORG or the Community; (b) any knowing and intentional material breach of any material term of these Bylaws that could reasonably be expected to materially adversely impact the BORG or the Community (or any part of the Community) and has not been cured within 60 days of notification of such breach to the breaching person; (c) the initiation or pendency of material legal proceedings or material governmental investigation by or against the BORG or BORG Personnel in their capacities as such; or (d) a sustained Deadlock that would not reasonably be expected to be resolved in the ordinary course without the Supervisor being granted Emergency Powers.

2.3.4 <u>Appointment</u>

Other than the initial Supervisor, Supervisors may be appointed by both Ychad Multisig Approval and DAO Approval or, if the law of the jurisdiction in which the BORG is constituted sets forth a procedure by which a court of competent jurisdiction may appoint a Supervisor, by such a court of competent jurisdiction.

2.3.5 <u>Term of Supervisor</u>

Each Supervisor shall hold office from and after the time such Supervisor's appointment (and acceptance thereof) until the earlier of such Supervisor's resignation, death (if an individual), dissolution (if an entity) or removal.

2.3.6 <u>Removal</u>

Supervisors may be removed, with or without cause, by the Ychad Multisig.

2.3.7 <u>Resignation, Death, or Dissolution of Supervisors</u>

2.3.7.1 Any Supervisor may resign at any time upon written notice to the Board and the Community, whereupon such Supervisor shall cease being a Supervisor upon the effective time specified in that notice. Unless otherwise specified in that notice, the acceptance of the resignation shall not be necessary to make it effective.

2.3.7.2 A Supervisor shall automatically cease being a Supervisor upon such Supervisor's death (if the Supervisor is a natural person) or dissolution (if the Supervisor is an entity).

2.4 Employees, Independent Contractors, Etc.

The BORG may from time to time hire or engage employees, independent contractors, agents, and other representatives of the BORG on commercially reasonable terms, as determined by the Board or any Officer duly authorized to do such hiring or engagement.

3 BODIES

3.1 Board of Directors

3.1.1 Board Powers

3.1.1.1 *General Board Powers*. Subject to applicable Legal Requirements and any limitations in the Charter or these Bylaws, the affairs of the BORG shall be managed and all corporate powers shall be exercised by or under the direction of the Board; *provided, however,* that the Board hereby irrevocably and permanently and exclusively delegates to the Ychad Multisig all powers and authorities contemplated for the Ychad Multisig in these Bylaws, and all powers and authorities necessary or desirable in connection therewith, and the Board shall have no authority to manage or direct the Ychad Multisig in respect of the exercise of those powers or decisionmaking. The Board shall do all things necessary and desirable to the management of the BORG that do not fall under the powers or authorities of the Ychad Multisig, including signing agreements with third parties (to the extent necessary or desirable to fulfill the Purposes), ensuring that the BORG remains in good corporate standing, and similar administrative processes. The Board shall approve, ratify, or take any other necessary or desirable actions or give any other necessary or desirable consents or approvals as requested by the Ychad Multisig in order to give effect to the delegation (or any actions taken pursuant to such delegation), prospectively or retroactively, as reasonably requested in good faith by the Ychad Multisig from time to time.

3.1.1.2 *Special Powers*.

(a) The following powers of the Board shall be subject to veto by the Ychad Multisig, and the Board shall notify the Ychad Multisig and provide an opportunity for such veto at least one month prior to exercising any of the following powers:

(i) the power to liquidate, dissolve, or wind-up the BORG or its activities and affairs;

(ii) the power to effect a merger or consolidation in which the BORG is a constituent party; or

(iii) the power to effect the sale, lease, transfer, exclusive license or other disposition, in a single transaction or series of related transactions, by the BORG of all or substantially all of the assets of the BORG

(each of the foregoing actions or transactions, a "***Liquidation Event***").

(b) In the event that the Ychad Multisig requests that the Board approve or take any action in furtherance of a Liquidation Event that has been approved by the Ychad Multisig, the Board shall not unreasonably withhold, delay or condition such approval or the taking of such action.

3.1.1.3 *Acting as a Body*. The Board shall act as a Body of the BORG, and the Directors shall not have individual power or authority to act on behalf of the Board in their capacities as such.

3.1.1.4 *Funds*. The Board shall not have any direct or indirect authority over the Ychad Multisig Funds but may manage any other funds owned or controlled by the BORG.

3.1.2 Number of Directors Constituting the Board.

3.1.2.1 The total number of Directors constituting the entire Board (the "***Number of Authorized Directors***") shall be fixed or changed in the manner provided in these Bylaws.

3.1.2.2 The minimum Number of Authorized Directors, and the initial Number of Authorized Directors as of the date of initial adoption of these Bylaws, shall be one.

3.1.2.3 The Number of Authorized Directors may be fixed or changed by Ychad Multisig Approval.

3.1.3 Board Vacancies.

3.1.3.1 Any vacancy occurring in the Board may be filled by the approvals set forth in Article 2.1.2. Each Director's appointment shall last until the resignation, death, or removal of such Director.

3.1.3.2 If at any time, by reason of death, resignation, removal or other cause(s), the BORG has no Directors in office, and an election of a Director cannot reasonably be expected to promptly occur in accordance with the approvals set forth in Article 2.1.2, then the Supervisor shall appoint a person selected reasonably and in good faith by the Supervisor as a single Director on an interim basis while seeking one or more full-time replacement Directors to be elected as described above under Article 2.1.2.1 or Article 2.1.2.2, as applicable, whereupon the interim Director shall (unless also elected as described above under Article 2.1.2.1 or Article 2.1.2.2, as applicable) resign or, if such Director does not resign, be removed by the Supervisor.

3.1.4 Board Meetings.

3.1.4.1 *Place and Manner of Meetings*

(a) The Board may hold meetings, both regular and special, in any place or in any manner (including remotely in accordance with clause '(b)' below) selected reasonably and in good faith by the Chair (if any) or agreed by any two Directors (or, if there is only one Director, that Director).

(b) Any or all Directors may participate in a meeting of the Board by means of internet conference, phone, or other communications equipment by means of which all persons participating in the meeting can hear each other, and such participation in a meeting shall constitute presence in person at the meeting.

3.1.4.2 *Regular Meetings.* Regular meetings of the Board may be held without notice at such time and at such place as shall from time to time be determined by the Board.

3.1.4.3 *Special Meetings; Notice*

(a) Special meetings of the Board for any purpose or purposes may be called at any time by the Chair or any two Directors (or, if there is only one Director, that Director).

(b) Notice of the time and place of special meetings shall be delivered to each Director in the manner specified for giving notice to such Director recorded on the BORG's records and shall be given at least 48 hours before the meeting is scheduled to occur. The notice need not specify the purpose of the meeting. Unless otherwise indicated in the notice thereof, any and all business may be transacted at a special meeting.

3.1.4.4 *Quorum*

(a) At all meetings of the Board, a majority of the total number of Directors then in office shall constitute a quorum for the transaction of business and the act of a majority of the Directors present at any meeting at which there is a quorum shall be the act of the Board, except as may be otherwise specifically provided by statute or by the Charter. If a quorum is not present at any meeting of the Board, then the Directors present thereat may adjourn the meeting from time to time, without notice other than announcement at the meeting, until a quorum is present.

(b) A meeting at which a quorum is initially present may continue to transact business notwithstanding the withdrawal of Directors, if any action taken is approved by at least a majority of the required quorum for that meeting.

3.1.4.5 *Waiver Of Notice.* Whenever notice is required to be given under applicable Legal Requirement, these Bylaws, a written waiver thereof, signed by the person entitled to notice, or waiver by electronic mail or other electronic transmission by such person, whether before or after the time stated therein, shall be deemed equivalent to notice. Attendance of a person at a meeting shall constitute a waiver of notice of such meeting, except when the person attends a meeting for the express purpose of objecting, at the beginning of the meeting, to the transaction of any business because the meeting is not lawfully called or convened. Neither the business to be transacted at, nor the purpose of, any regular or special meeting of the Board, need be specified in any written waiver of notice unless so required by the Charter or these Bylaws.

3.1.4.6 *Board Action By Written Consent Without A Meeting*

(a) Unless otherwise restricted by the Charter or these Bylaws, any action required or permitted to be taken at any meeting of the Board may be taken without a meeting if all members of the Board consent thereto in writing or by electronic transmission, and the writing or writings or electronic transmission or transmissions are filed with the minutes of proceedings of the Board. Such filing shall be in paper form if the minutes are maintained in paper form and shall be in electronic form if the minutes are maintained in electronic form.

(b) Any copy, facsimile or other reliable reproduction of a consent in writing may be substituted or used in lieu of the original writing for any and all purposes for which the original writing could be used, provided that such copy, facsimile or other reproduction shall be a complete reproduction of the entire original writing.

3.1.4.7 *Deadlocks*

(a) "***Deadlock***" means

(i) that, with respect to any proposal, resolution or action that may be submitted to a vote of the Board:

the full Board is evenly divided thereon such that there is neither a majority of the Board in favor of nor a majority of the Board against such proposal, resolution, or action and it cannot reasonably be expected that a majority of the Board will vote in favor of or against such proposal, resolution, or action in the near future; or

a quorate meeting of the Board where such proposal, resolution, or action is scheduled to be voted upon has failed to be convened after three consecutive reasonable good faith attempts to do so in accordance with all applicable notice requirements and it cannot reasonably be expected that a quorum of the Board will convene for such a meeting in the near future; or

(ii) as a result of circumstances described in the preceding clause '(a)(i)' or otherwise, there is a sustained vacancy in a position (such as a Director or Supervisor) that is required by these Bylaws to be occupied and cannot reasonably be expected to be filled in the near future

(it being agreed that for purposes of the preceding clause '(a)(i),' a Director's decision to intentionally refrain from voting on a proposal, indicated by any reasonable communication method of such Director signaling that such refrain is intentional, shall count as a vote against the relevant proposal.)

(b) During the existence of any Deadlock, any BORG Personnel may: (i) deliver written notice to the Board stating that in such person's opinion a Deadlock has occurred and identifying the proposal, resolution or action giving rise to the Deadlock; and (ii) submit a proposal to the Ychad Multisig Members to vote upon the proposal, resolution or action giving rise of the Deadlock. Following such a notice, notwithstanding any requirement for Board approval that would otherwise apply, the decision of the majority Ychad Multisig Members on the proposal, resolution or action giving rise to the Deadlock shall determine the outcome of the Deadlock, and the Board and all other BORG Personnel shall be bound thereby and shall implement the resolution of the Deadlock approved by the majority Ychad Multisig Members unless such resolution would violate a Legal Requirement applicable to the BORG or such BORG Personnel.

3.2 Ychad Multisig

3.2.1 In General

3.2.1.1 The BORG shall maintain an up-to-date description of the Ychad Multisig in reasonable detail, including by identifying and describing in plain English:

(a) the Blockchain System to which the Ychad Multisig is deployed;

(b) the network address of the Ychad Multisig and the other Mandatory Autonomous Systems relating to the Ychad Multisig on such Blockchain System;

(c) for each Ychad Multisig Member and each Ychad Multisig Proposer,

(i) a name for such Ychad Multisig Member (which shall either be the legal name of such Ychad Multisig Member, or a pseudonym generally known in the Community to belong to some particular person (whether or not the legal name of such particular person is also generally known to the Community)); and

(ii) at least one public key address corresponding to the Private Key of such Ychad Multisig Member that belongs to the Multisig Key Set for the Ychad Multisig; and at least one public key address for such Ychad Multisig Proposer used by such Ychad Multisig Proposer for purposes of interacting with the Ychad Multisig;

(d) the minimum number of Multisig Keys required to execute transactions through the Ychad Multisig (broken down by transaction type, in the event that different transaction types have different approval thresholds);

(e) any and all abilities, powers, and rights the Ychad Multisig has with respect to any Community Systems, including a technical and plain-English description of each function of a Community System over which the Ychad Multisig has privileged, elevated or exclusive access, power or authority and the intended uses thereof;

(f) any and all abilities, powers, and rights the DAO or Community Systems or any other entity, Smart Contract or Blockchain System has with respect to the Ychad Multisig or other Mandatory Autonomous Systems, including a technical and plain-English description of each function of the Ychad Multisig or other Mandatory Autonomous System over which the foregoing has privileged, elevated or exclusive access, power or authority and the intended uses thereof; and

(g) a copy of or persistent link to the source code for Ychad Multisig and other Mandatory Autonomous Systems (unless such source code is ascertainable from the verified bytecode thereof on generally available blockchain explorers).

The initial such description is attached hereto as <u>Schedule 3.2.1</u> (the "***Ychad Multisig Schedule***").

3.2.1.2 Promptly following each update to the Ychad Multisig, the Board (or any of the Directors) shall amend the Ychad Multisig Schedule to include the information specified in <u>Article 3.2.1.1</u>.

3.2.1.3 The DAO may, solely by virtue of the powers given to the DAO by the Community Systems or Mandatory Autonomous Systems, have or be granted powers over the Ychad Multisig, including those described on the Ychad Multisig Schedule:

3.2.1.4 The Ychad Multisig shall have the exclusive authority to manage the Ychad Multisig Funds held in or controlled by the Ychad Multisig.

3.2.1.5 Notwithstanding that the Ychad Multisig may be technically or theoretically capable of being used for purpose(s) or circumstance(s) outside the Authorized Uses, neither the BORG nor any of the Ychad Multisig Members (nor any of their employees, representatives, **agents** or delegates) shall utilize any Ychad Multisig or any privilege, elevated or exclusive access, power or authority held by the Ychad Multisig over any Community System except for an Authorized Use.

3.2.1.6 The DAO oracle (as part of the Mandatory Autonomous Systems) shall have a 'heartbeat' function. If the oracle fails to respond for a period of 14 consecutive days, the Ychad Multisig may, by Ychad Multisig Approval, appoint a new oracle address.

3.2.2 <u>Multisig Key Management Practices</u>

3.2.2.1 Each Private Key must be unique to one and only one Ychad Multisig Member and not shared **with** or accessible to the BORG or any other person.

3.2.2.2 The Private Key shall be the private information of the Ychad Multisig Member or Prospective **Ychad** Multisig Member and shall not constitute the property or private information of the BORG. The Private Key of the Ychad Multisig Member or Prospective Ychad Multisig Member shall not represent or constitute any interest in or claim to any asset which is controlled by a Multisig.

3.2.2.3 Each Ychad Multisig Member shall securely hold, control, custody and safeguard his, her or its **Multisig** Key(s) and immediately notify the BORG and the other Ychad Multisig Members if any of such Ychad Multisig Member's Multisig Key(s) could reasonably be expected to have been stolen, published or otherwise accessed by, made available to or become known to any other person (including any other Ychad Multisig Member).

3.2.2.4 Ychad Multisig Members shall not disclose or make available any Ychad Multisig Key to, or share **any** Ychad Multisig Key with, any other person, including other Ychad Multisig Members.

3.2.3 <u>Ownership of Multisig-Controlled Property</u>

3.2.3.1 No Ychad Multisig Member shall be deemed to own any Blockchain Tokens held in, by or through any Ychad Multisig or any other Blockchain Tokens, digital assets or other property held in, by or through, or received by a Ychad Multisig Member on account of such Ychad Multisig Member's participation in any Ychad Multisig (**including**, without limitation, any "airdrops" or other distributions of Community Tokens or other Blockchain Tokens received or claimable by such Ychad Multisig Member's externally owned account or blockchain address on account of such Ychad Multisig Member's participation in the Ychad Multisig).

3.2.3.2 In the event a Ychad Multisig Member receives any property of the BORG to such Ychad Multisig Member's externally owned account or blockchain address, such Ychad Multisig Member shall promptly notify the BORG and remit such property to the BORG in the manner directed by the BORG (which may include encumbering such property under the control of the Ychad Multisig).

3.2.4 <u>Proposals; Response to Proposals</u>

3.2.4.1 *Ychad Multisig Member Proposals.* Any Ychad Multisig Member or any other person permitted by the configuration of the Ychad Multisig Smart Contract (such a person who is not a Ychad Multisig Member, a "***Ychad Multisig Proposer"***) may from time to time propose that a certain action be taken or transaction effected by the Ychad Multisig, pursuant to the Authorized Uses. A Ychad Multisig Member shall make such a proposal by signing with such Ychad Multisig Member's Multisig Key a draft executable transaction message that, if such draft executable transaction message receives sufficient other such signatures from other Ychad Multisig Members, will be executed by the Ychad Multisig (each such proposal, a "***Ychad Multisig Proposal***").

3.2.4.2 *Process For Considering and Executing Proposals.* The approval of a Ychad Multisig Proposal by a sufficient number of Ychad Multisig Members of the Ychad Multisig (to cause the Ychad Multisig to execute such Proposal onchain or as otherwise provided by these Bylaws) (each, a "***Ychad Multisig Approval***") shall constitute the action of such Ychad Multisig as a body. For the avoidance of doubt, the Ychad Multisig Members and the BORG may make use of private mempools and other such confidentiality or transaction prioritization or transaction batching mechanisms in connection with the execution of Proposals, as determined in their reasonable good faith discretion in light of the Authorized Uses, Purposes, and Principles.

3.2.4.3 *Action/Approval of Ychad Multisig*. Wherever these Bylaws call for the action or approval of the Ychad Multisig, the taking of that action or the approval of the relevant proposal or other matter by signatures with the minimum number of Multisig Keys required to approve transactions through the Ychad Multisig as set forth (or required to be set forth) on the Ychad Multisig Schedule, and the subsequent execution of such approved proposal by the Ychad Multisig, shall be sufficient to deem such action taken or such proposal or other matter approved.

4 VOLUNTARY NATURE OF BORG ACTIVITIES; NO GENERAL DUTIES TO COMMUNITY; CONFLICTS OF INTEREST; WAIVER OF FIDUCIARY DUTY; LIMITATION OF LIABILITY

4.1 To the maximum extent permitted under applicable Legal Requirements, all activities of the BORG of potential benefit to the Community are to be conducted by the BORG and the BORG Personnel on a purely volunteer, *ad hoc* basis, without any express or implied affirmative promise, duty, obligation, warranty, undertaking or assumption of duty or risk of performing such activities, other than duties owed by BORG Personnel to the BORG.

4.2 The BORG and the BORG Personnel each acknowledge and agree that:

4.2.1 The Community members are an unknown, diverse and disparate group of persons, each of whom may have conflicting economic, personal, political, social or other interests and that at any one time any Community member may be in competition with or pursuing interests that are adverse to or inconsistent with the interests of another Community member, and as such none of the BORG or the BORG Personnel are able to, or will, accept, undertake or perform a duty of loyalty to or owe any fiduciary obligation to any single Community member, sub-group of the Community, or the Community as a whole.

4.2.2 The BORG Personnel may have conflicting economic, personal, political, social or other interests and at any time may be in competition with or pursuing interests that are adverse to or inconsistent with the interests of one another, and as such none of the BORG Personnel are able to, or will, accept, undertake or perform a duty of loyalty to or owe any fiduciary obligation to any other BORG Personnel.

4.3 No participation in the BORG as a BORG Personnel or otherwise shall constitute, or be deemed to constitute, a trust, partnership, association, joint venture or other unincorporated association or entity among or involving any BORG Personnel (other than the BORG itself). To the maximum extent permitted by law, no BORG Personnel shall be deemed to owe to the Community or any member thereof, any BORG Personnel, or the BORG itself, any fiduciary obligation or duty or any other duties implied by law or implied by equitable principles or imposed by applicable Legal Requirement to the Community or any member thereof.

4.4 Neither the Community in general nor any individual member(s) of the Community shall have any interest in the management or affairs of the BORG, except as explicitly stated herein, or as permitted through the DAO. The ability of the Community, or a member of the Community, to provide feedback regarding any BORG or Multisig activity or decision through the DAO or otherwise shall not be construed as granting any right to such person with respect to the BORG.

4.5 In no event shall the BORG or any of the BORG Personnel, or the Community or any member thereof, owe to or incur toward any BORG Personnel (or their representatives) any damages (however caused and under any theory of liability, whether under the Bylaws or otherwise arising in any way in connection with the services of the BORG Personnel and whether in contract, strict liability, or tort (including negligence or otherwise) even if previously advised of the possibility of such damage), debts, or other liabilities (including any unknown, undisclosed, unmatured, unaccrued, unasserted, contingent, indirect, conditional, implied, vicarious, derivative, joint, several or secondary liabilities) arising from or in connection with the BORG, or the Bylaws, including any of the foregoing arising from any BORG Personnel's (or its representatives') participation in the Ychad Multisig ("***Liabilities***").

4.6 In no event shall any BORG Personnel (or any of the BORG Personnel's respective representatives) owe to or incur toward the BORG or any BORG Personnel any Liabilities, except in the case of fraud or an intentional and knowing breach of the Bylaws by or on behalf of such BORG Personnel.

4.7 The BORG and each BORG Personnel hereby waives, disclaims, exculpates, and releases, to the maximum extent permitted by law, any and all fiduciary duties and other duties implied in law or in equity of the BORG Personnel owed to the BORG or one another (other than the fiduciary duty of loyalty to the BORG and the covenant/duty of good faith and fair dealing), and any Liability of the BORG Personnel to the BORG or other BORG Personnel; *provided, however,* that no duty not to commit or knowingly facilitate, or Liability for committing or knowingly facilitating, any of the following is waived, disclaimed, exculpated, or released: fraud (committed with *scienter*), knowing and intentional material breach of these Bylaws or the BORG Participation Agreement, gross negligence, or a crime involving moral turpitude.

4.8 These Bylaws have been made available to the Community so that, among other things, each Community member has had a chance to inspect these Bylaws and to be put on notice of, to understand, acknowledge and agree to the limitations under this Article 4.

5 INDEMNIFICATION

5.1 Indemnification of Certain BORG Personnel.

Each person who was or is made a party to, or is threatened to be made a party to, or is involved in any threatened or actual action, suit, claim, counterclaim, cross claim, arbitration, mediation, alternate dispute resolution mechanism, investigation, inquiry, administrative hearing or any other actual or threatened proceeding, including any appeal or action for enforcement, in each case, whether civil, criminal, administrative or investigative, brought by or on behalf of or to be determined or tried by or before a governmental body or legal mediator, arbitrator or panel of mediators or arbitrators, in each case, by reason of the fact that such person (or a person of whom such person is the legal representative), is or was a BORG Personnel (each, a "***Proceeding***" and each such person against whom a Proceeding is brought, an "***Indemnitee***") shall be indemnified and held harmless by the BORG upon the terms and conditions set forth in this Article 5 against all expenses, liability and loss (including attorneys' fees, judgments, fines, excise taxes and penalties and amounts paid or to be paid in settlement) reasonably incurred or suffered by such Indemnitee in connection therewith, provided such Indemnitee acted in good faith and in a manner that the Indemnitee reasonably believed to be in or not opposed to the best interests of the BORG, did not commit other than for fraud (committed with *scienter*), gross negligence or knowing and intentional material breach of these Bylaws or the BORG Participation Agreement, or a crime involving moral turpitude, and, with respect to any criminal action or Proceeding, had no reasonable cause to believe the Indemnitee's conduct was unlawful. Such indemnification shall continue as to an Indemnitee who has ceased to be a director or officer and shall inure to the benefit of such Indemnitees' heirs, executors and administrators. Notwithstanding the foregoing, the BORG shall indemnify any such Indemnitee seeking indemnity in connection with a Proceeding (or part thereof) initiated by such Indemnitee only if such Proceeding (or part thereof) was authorized by the Board or such indemnification is authorized by an agreement approved by the Board.

5.2 Advance of Expenses.

The BORG shall pay all expenses (including attorneys' fees) incurred by such an Indemnitee in defending any such Proceeding as they are incurred in advance of its final disposition; provided, however, that (a) the payment of such expenses incurred by such an Indemnitee in advance of the final disposition of such Proceeding shall be made only upon delivery to the BORG of an undertaking, by or on behalf of such Indemnitee, to repay all amounts so advanced if it should be determined ultimately by final judicial decision from which there is no appeal that such Indemnitee is not entitled to be indemnified under these Bylaws; and (b) the BORG shall not be required to advance any expenses to a person against whom the BORG directly brings a claim, in a Proceeding, alleging that such person has breached such person's duty of loyalty to the BORG, committed an act or omission not in good faith or that involves intentional misconduct or a knowing violation of applicable Legal Requirements, or derived an improper personal benefit from a transaction.

5.3 Non-Exclusivity of Rights.

The rights conferred on any person in this Article 5 shall not be exclusive of any other right that such person may have or hereafter acquire under any statute, Governance Agreement, or otherwise. Additionally, nothing in this Article 5 shall limit the ability of the BORG, in its discretion, to indemnify or advance expenses to persons whom the BORG is not obligated to indemnify or advance expenses pursuant to this Article 5.

5.4 Right of Indemnitee to Bring Suit.

5.4.1 Right to Bring Suit. If a claim under Article 5.1 or 5.2 is not paid in full by the BORG within sixty (60) days after a written claim has been received by the BORG, except in the case of a claim for an advancement of expenses, in which case the applicable period shall be twenty (20) days, the Indemnitee may at any time thereafter bring suit against the BORG to recover the unpaid amount of the claim. If successful in whole or in part in any such suit, or in a suit brought by the BORG to recover an advancement of expenses pursuant to the terms of an undertaking, the Indemnitee shall be entitled to be paid also the expense of prosecuting or defending such suit. In (a) any suit brought by the Indemnitee to enforce a right to indemnification hereunder (but not in a suit brought by the Indemnitee to enforce a right to an advancement of expenses) it shall be a defense that, and (b) in any suit brought by the BORG to recover an advancement of expenses pursuant to the terms of an undertaking, the BORG shall be entitled to recover such expenses upon a final adjudication that, the Indemnitee has not met any applicable standard for indemnification set forth in applicable Legal Requirements or these Bylaws.

5.4.2 Effect of Determination. Neither the failure of the BORG to have made a determination prior to the commencement of such suit that indemnification of the Indemnitee is proper in the circumstances because the Indemnitee has met the applicable standard of conduct set forth in applicable Legal Requirements, nor an actual determination by the BORG that the Indemnitee has not met such applicable standard of conduct, shall create a presumption that the Indemnitee has not met the applicable standard of conduct or, in the case of such a suit brought by the Indemnitee, be a defense to such suit.

5.4.3 Burden of Proof. In any suit brought by the Indemnitee to enforce a right to indemnification or to an advancement of expenses hereunder, or brought by the BORG to recover an advancement of expenses pursuant to the terms of an undertaking, the burden of proving that the Indemnitee is not entitled to be indemnified, or to such advancement of expenses, under this Article 5, or otherwise, shall be on the BORG.

5.5 Nature of Rights.

The rights conferred upon Indemnitees in this Article 5 shall be contract rights and such rights shall continue as to an Indemnitee who has ceased to be a BORG Personnel and shall inure to the benefit of the Indemnitee's heirs, executors and administrators. Any amendment, repeal or modification of any provision of this Article 5 that adversely affects any right of an Indemnitee or an Indemnitee's successors shall be prospective only, and shall not adversely affect any right or protection conferred on a person pursuant to this Article 5 and existing at the time of such amendment, repeal or modification.

5.6 Sources of Funds; Indemnification Cap.

Notwithstanding any other provision of these Bylaws or any other Governance Agreement, except to the extent otherwise expressly approved by the Board and Community Module Approval, all indemnification, holding harmless, advancement of expenses and other similar rights of any BORG Personnel hereunder shall only be payable at, and in the aggregate shall be limited to, the Ops Funds. Except to the extent otherwise expressly approved by the Board and Community Module Approval, in no event shall any Indemnitee have any claim to any Alliance Multisig Funds.

6 CERTAIN YCHAD AND DAO CO-APPROVALS

6.1 In addition to any other matters calling for Ychad Multisig Approval and DAO Approval as set forth in these Bylaws or by virtue of the Community Systems or Mandatory Autonomous Systems, the following matters shall require both: (a) a prior Ychad Multisig Approval; and (b) a prior DAO Approval (in addition to any other approvals required under these Bylaws or applicable Legal Requirements):

6.1.1 any Liquidation Event;

6.1.2 any amendment, addition, deletion, modification, waiver, or change to any one or more of the Purposes, Authorized Uses, or any other provision of these Bylaws referring to the Community (or any sub-constituencies thereof), the DAO or the Ychad Multisig whether to be approved via amendment to these Bylaws or otherwise, where such amendment, addition, deletion, modification, waiver, or change, whether individually or in the aggregate with other amendments, additions, deletions, modifications, waivers, or changes or existing provisions could reasonably be expected to materially negatively modify, limit, eliminate, waive, or otherwise adversely affect any power, right, obligation, liability, perquisite, or interest of the Community (or any one or more sub-constituencies of the Community), the DAO or the Ychad Multisig;

6.1.3 any waiver, supplement, non-observance, or amendment of these Bylaws that could reasonably be expected to, whether individually or in the aggregate with other amendments, additions, deletions, modifications, waivers, or changes or existing provision, could reasonably be expected to materially negatively modify, limit, eliminate, waive, or otherwise adversely affect any power, right, obligation, liability, perquisite, or interest of the Community (or any one or more constituencies of the Community), the DAO or the Ychad Multisig; and

6.1.4 any material change to the Mandatory Autonomous Systems.

provided, however, that amending the Ychad Multisig Schedule to reflect otherwise permitted changes in facts or circumstances regarding the Ychad Multisig, the Community or the Community Systems shall not require a DAO Approval.

6.2 In the event that a proposal for any of the foregoing matters has been approved by Ychad Multisig Approval or DAO Approval, as the case may be, and there has not been a corresponding DAO Approval or Ychad Multisig Approval, respectively, within 30 days of such initial approval, the proposal shall be deemed rejected and the initial approval shall be null and void, such that, in order to be approved, the relevant matter would need to be re-proposed and re-approved by both Ychad Multisig Approval and DAO Approval

7 GENERAL PROVISIONS

7.1 Governing Law.

These Bylaws shall be governed by and construed under the internal laws of the Cayman Islands, regardless of the laws that might otherwise govern under applicable principles of conflicts of laws.

7.2 Dispute Resolution

7.2.1 Any controversy or claim brought against the BORG by or on behalf of any BORG Personnel or member of the Community relating to the subject matter of these Bylaws ("***Dispute***") shall be determined and resolved exclusively by confidential, binding arbitration conducted in accordance with the Cayman Islands Arbitration Act, 2012 (the "***Act***") and administered by the Cayman International Mediation and Arbitration Centre Ltd under the CI-MAC Arbitration Rules 2023 (the "***Rules***"). The seat or legal place of arbitration shall be George Town, Grand Cayman. The language to be used in the arbitral proceedings shall be English. The number of arbitrators shall be three (the "***arbitral panel***").

7.2.2 The arbitral tribunal shall have the powers applicable under the Act and the Rules including, without limitation, the power to order on a provisional basis any relief which it would have power to grant in a final award, and to award legal fees and expenses to the prevailing party or parties. The decision and award of the arbitral tribunal shall be final and binding, and shall be enforceable by any court of competent jurisdiction (including the courts of the Cayman Islands) in accordance with applicable Legal Requirements and international treaties. The BORG Personnel expressly waive any right under the laws of any jurisdiction to appeal or otherwise challenge the award, ruling or decision of the arbitrator.

7.2.3 Each BORG Personnel and each member of the Community: (i) hereby irrevocably and unconditionally submit to the jurisdiction of the arbitral tribunal and the courts of the Cayman Islands for the purpose of any Dispute, including the enforcement of any decision of the arbitral tribunal as set forth above, (ii) agrees not to commence any Dispute except in accordance with these Bylaws, including the use of binding arbitration as set forth above; and (iii) hereby waive, and agree not to assert, by way of motion, as a defense, or otherwise, in any Dispute, any claim that it is not subject personally to the jurisdiction of the arbitral tribunal or the above-named courts, that its property is exempt or immune from attachment or execution, that the suit, action or proceeding is brought in an inconvenient forum, that the venue of the suit, action or proceeding is improper or that these Bylaws or the subject matter hereof or thereof may not be enforced in or by such court.

7.2.4 THE BORG AND EACH OF THE BORG PERSONNEL HEREBY WAIVES ITS RIGHTS TO A JURY TRIAL OF ANY DISPUTE. THE SCOPE OF THIS WAIVER IS INTENDED TO BE ALL-ENCOMPASSING OF ANY AND ALL DISPUTES THAT MAY BE FILED IN ANY COURT AND THAT RELATE TO THE SUBJECT MATTER OF ANY OF THE TRANSACTIONS CONTEMPLATED BY THESE BYLAWS, INCLUDING, WITHOUT LIMITATION, CONTRACT CLAIMS, TORT CLAIMS (INCLUDING NEGLIGENCE), BREACH OF DUTY CLAIMS, AND ALL OTHER COMMON LAW AND STATUTORY CLAIMS.

7.3 Amendment; Waiver.

These Bylaws may be amended and provisions may be waived (either generally or in a particular instance and either retroactively or prospectively), only by: (a) approval of the Board and a Ychad Multisig Approval; and (b) in the case of amendments or waivers referred to in Section 6, approval by all three of the Board, a Ychad Multisig Approval, and a DAO Approval.

7.4 Severability.

Any term or provision of these Bylaws that is found invalid or unenforceable in any situation in any jurisdiction shall not affect the validity or enforceability of the remaining terms and provisions hereof or the validity or enforceability of the offending term or provision in any other situation or in any other jurisdiction. If a final judgment of a court of competent jurisdiction declares that any term or provision hereof is invalid or unenforceable, the court making such determination shall have the power to limit such term or provision, to delete specific words or phrases, or to replace any invalid or unenforceable term or provision with a term or provision that is valid and enforceable and that comes closest to expressing the intention of the invalid or unenforceable term or provision, and these Bylaws shall be enforceable as so modified. In the event such court does not exercise the power granted to it in the prior sentence, such court or the Board shall be empowered to replace such invalid or unenforceable term or provision with a valid and enforceable term or provision that will achieve, to the extent possible, the economic, business and other purposes of such invalid or unenforceable term or provision.

7.5 Entire Agreement.

These Bylaws and any other documents or agreements referred to herein or therein constitute the entire agreement and understanding with respect to the subject matter hereof and thereof, and supersedes any and all prior negotiations, correspondence, warrants, agreements, understandings duties or obligations with respect to the subject matter hereof and thereof.

7.6 Further Assurances.

The BORG Personnel shall execute and deliver any further instruments or documents and to take all such further actions as may be necessary or advisable in order to carry out the intent of these Bylaws.

7.7 Rules of Construction.

7.7.1 Gender; Etc. For purposes of these Bylaws, whenever the context requires: the singular number shall include the plural, and vice versa; the masculine gender shall include the feminine and neuter genders; the feminine gender shall include the masculine and neuter genders; and the neuter gender shall include the masculine and feminine genders.

7.7.2 Ambiguities. The Parties hereto agree that any rule of construction to the effect that ambiguities are to be resolved against the drafting Party shall not be applied in the construction or interpretation of these Bylaws.

7.7.3 No Limitation. As used in these Bylaws, the words “include,” “including,” “such as” and variations thereof, shall not be deemed to be terms of limitation, but rather shall be deemed to be followed by the words “without limitation.” The word “or” shall mean the non-exclusive “or”.

7.7.4 References. Except as otherwise indicated, all references in these Bylaws to “Articles,” “Schedules” and “Exhibits” are intended to refer to Articles of these Bylaws and Schedules and Exhibits to these Bylaws.

7.7.5 Hereof. The terms “hereof,” “herein,” “hereunder,” “hereby” and “herewith” and words of similar import will, unless otherwise stated, be construed to refer to these Bylaws as a whole and not to any particular provision of these Bylaws.

7.7.6 Captions/Headings. The captions, headings and similar labels contained in these Bylaws are for convenience of reference only, shall not be deemed to be a part of these Bylaws and shall not be referred to in connection with the construction or interpretation of these Bylaws.

7.7.7 Person. The term “person” refers to any natural born or legal person, entity, governmental body or incorporated or unincorporated association, partnership or joint venture.

BORG BYLAWS

EXHIBIT A

Certain Defined Terms

"***Blockchain***" means a distributed data structure consisting of hashlinked sets ('blocks') of transactions that is directly or indirectly produced, maintained and/or secured by the automated consensus of a network of independent nodes operating a byzantine-fault-tolerant protocol.

"***Blockchain System***" means the combination of:

(a) a Blockchain; and

(b) a network of one or more devices operating software clients or software applications that jointly or individually store, validate, process transactions with respect to, update, resolve forks with respect to or otherwise maintain, validate, read from, store data with respect to, create public proofs with respect to, or write to such Blockchain.

"***Blockchain Tokens***" means any virtual currency, token, or other unit of account or medium of exchange that is implemented exclusively or primarily on a Blockchain System, regardless of whether transferable, non-transferable, fungible or non-fungible.

"***Community Systems***"

(a) the Community End-User Systems;

(b) the DAO; and

(c) if any of the foregoing depends for its security or operations on another Blockchain System or any Smart Contracts thereon, such Blockchain System and Smart Contracts, but only to the extent relating to the foregoing.

"***Community End-User System"*** means any Smart Contracts (other than the DAO) that are both:

(a) (i) based on the Protocols and (ii) intended for use by the general public in a consumer capacity; and

(b) either (i) governed in or whole in part (in upgradeability or parameters or actions) by the DAO or the BORG or (ii) otherwise approved to be a part of the 'Yearn protocol' or 'official Yearn systems' by both DAO Approval and Ychad Multisig Approval.

"***Community Token***" means:

(a) each Blockchain Token belonging to the class of Blockchain Tokens with the symbol 'YFI' mintable from, and whose balances and transfers are tracked by, the Smart Contract at address 0x0bc529c00C6401aEF6D220BE8C6Ea1667F6Ad93e on Ethereum ("***YFI Tokens***"), which:

(i) have the power to natively govern, secure, utilize or otherwise participate in the Community Systems through the DAO; or

(ii) are natively convertible into or stakeable for Representational Community Tokens, which Representational Community Tokens have any one or more of the powers described in the preceding clause '(i)'; and

(b) each Blockchain Token belonging to any class of Blockchain Tokens endorsed by DAO Approval and Ychad Multisig Approval as a supplement or successor to the class of Blockchain Tokens referred to in the preceding clause '(a)'.

"***DAO***" means:

(a) the Smart Contract with address 0x90c1f9220d90d3966FbeE24045EDd73E1d588aD5 on Ethereum (which embodies or enforces the rules of voting, decisionmaking, and other governance functions on certain proposals relating to the Community and Community Systems and assigns voting power with respect thereto based on staking or locking Community Tokens for certain Representational Community Tokens) and the other DAO-Related Smart Contracts (as defined below) (which determine rewards and other matters to holders of voting power in the DAO), in each case, unless and until deprecated by both DAO Approval and Ychad Multisig Approval for serving such purposes;

(b) the snapshot space (and rules embodied or reflected therein) at https://snapshot.box/#/s:veyfi.eth , unless and until deprecated by both DAO Approval and Ychad Multisig Approval; and

(c) any other Smart Contracts, snapshot spaces or other systems approved by both DAO Approval and Ychad Multisig Approval for embodying or enforcing the rules of voting, decisionmaking, and other governance functions on certain proposals relating to the Community and Community Systems based on or derived from Community Tokens or Representational Community Tokens, including any successor Smart Contracts approved to replace the Smart Contract referred to in the preceding clause '(a)' or snapshot spaces to replace the snapshot space referred to in the preceding clause '(b)', if deprecated in accordance therewith, in each case, unless and until such successor itself is deprecated by both DAO Approval and Ychad Multisig Approval for serving such purposes.

"***DAO Approval***" means, with respect to any proposal, the affirmative vote of the requisite majority or plurality of the rightful holders of voting power of the DAO necessary to approve or effectuate such proposal in with the Smart Contracts composing the DAO.

"***DAO-Related Smart Contracts***" means the below-indicated Smart Contracts s on Ethereum:

Deployed Addresses

Description	**Address**
veYFI	0x90c1f9220d90d3966fbee24045edd73e1d588ad5
Gauge registry	0x1D0fdCb628b2f8c0e22354d45B3B2D4cE9936F8B
Gauge controller	0x46b38522422D597dDbAA2D6E98D6C9b397028d5B
dYFI	0x41252e8691e964f7de35156b68493bab6797a275
dYFI Redemption	0x7dC3A74F0684fc026f9163C6D5c3C99fda2cf60a
YFI Reward Pool	0xb287a1964AEE422911c7b8409f5E5A273c1412fA
dYFI Reward Pool	0x2391Fc8f5E417526338F5aa3968b1851C16D894E

Deployed Gauge Addresses

Index	Symbol	Name	Address
0	yG-yvCurve-YFIETH	yGauge Curve YFI-ETH Pool yVault	0x7Fd8Af959B54A677a1D8F92265Bd0714274C56a3
1	yG-yvCurve-dYFIETH-f-f	yGauge Curve dYFIETH-f Factory yVault	0x28da6dE3e804bDdF0aD237CFA6048f2930D0b4Dc
2	yG-lp-yCRVv2	yGauge LP Yearn CRV Vault v2	0x107717C98C8125A94D3d2Cc82b86a1b705f3A27C
3	yG-yvCurve-yETH-f	yGauge Curve yETH Factory yVault	0x81d93531720d86f0491DeE7D03f30b3b5aC24e59
4	yG-yvUSDS-1	yGauge USDS-1 yVault	0xd57aEa3686d623dA2dCEbc87010a4F2F38Ac7B15
5	yG-yvUSDC-1	yGauge USDC-1 yVault	0x622fA41799406B120f9a40dA843D358b7b2CFEE3
6	yG-yvDAI-1	yGauge DAI-1 yVault	0x128e72DfD8b00cbF9d12cB75E846AC87B83DdFc9
7	yG-yvWETH-1	yGauge WETH-1 yVault	0x5943F7090282Eb66575662EADf7C60a717a7cE4D

Index	Symbol	Name	Address
8	yG-yvCurve-sdYFIv2-f	yGauge Curve sdYFIv2 Factory yVault	0xB61F8fff8Dd8C438E0d61C07b5536cE3d728f660
9	yG-yvCurve-upYFI-f	yGauge Curve upYFI Factory yVault	0xf719B2d3925CC445D2Bb67FA12963265E224Fa11
10	yG-yvCurve-COVEYFI-f	yGauge Curve COVEYFI Factory yVault	0x97A597CBcA514AfCc29cD300f04F98d9DbAA3624
11	yG-yvDAI-2	yGauge DAI-2 yVault	0x38E3d865e34f7367a69f096C80A4fc329DB38BF4
12	yG-yvWETH-2	yGauge WETH-2 yVault	0x8E2485942B399EA41f3C910c1Bb8567128f79859
13	yG-yvcrvUSD-2	yGauge crvUSD-2 yVault	0x71c3223D6f836f84cAA7ab5a68AAb6ECe21A9f3b

“***Ethereum***” means, at any time, the canonical blockchain and virtual machine environment of the Ethereum Mainnet ‘mainnet’, as recognized by at least a majority of the validators running correct versions of the go-Ethereum client (‘geth’) then being operated in good faith in the ordinary course of the network. As of the date of these Terms, the Ethereum Mainnet ‘mainnet’ is chainID;1 on networkID:1.

“***Legal Requirement***” means any federal, state, local, municipal, foreign, supranational or other law, statute, constitution, treaty, directive, resolution, ordinance, code, order, writ, injunction, judgment, edict, decree, ruling, award, rule, regulation, judgment, ruling or requirement issued, enacted, adopted, promulgated, implemented or otherwise put into effect by or under the authority of any (a) nation, multinational, supranational, state, commonwealth, province, territory, county, municipality, district or other jurisdiction of any nature; (b) federal, state, provincial, local, municipal, foreign or other government; (c) instrumentality, subdivision, department, ministry, board, court, administrative agency or commission, or other governmental body, authority or instrumentality or political subdivision thereof; or (d) any quasi-governmental or private body exercising any executive, legislative, judicial, regulatory, taxing, importing or other governmental functions.

"***MetaLeX BORG Systems for Ychad***" means the following Smart Contracts on Ethereum:

[_____]

"***Multisig***" means a Smart Contract deployed by or on behalf of the BORG that: (a) is configured to recognize a specified set of Private Keys (the "***Multisig Private Key Set***"); and (b) one or more of the functions of which can be executed in response to a transaction message that has been signed by a specified minimum number of Private Keys belonging to such set of Private Keys.

"***Multisig Private Key***" means, with respect to each Multisig, each Private Key belonging to the Multisig Private Key Set recognized by such Multisig.

"***Multisig Member***" means, at any time, each person who, as of such time, holds a Multisig Private Key for a Multisig. For the avoidance of doubt, the term "Multisig Member" shall not include the holders of DAO, or the holders of any voting power in the DAO, in their capacity as such, notwithstanding that the DAO may have limited powers over a Multisig.

"***Private Key***" means a cryptographic key that is intended to be secret and corresponds to at least one public key that: (a) is known to the BORG; and (b) constitutes a Blockchain System address.

"***Protocols***" means:

(d) the software published under the github repositories at https://github.com/yearn, or any successor or supplement thereto endorsed by DAO Approval and Ychad Multisig Approval; and

(e) any other software endorsed as an official Yearn protocol by a DAO Approval and Ychad Multisig Approval.

"***Representational Community Tokens***" means any Blockchain Token or other unit of account within a Smart Contract that:

(a) without reduction or dilution of the value of or economic, governance or other powers and benefits of Community Tokens, is derived from or designed to represent or to be convertible with Community Tokens (or the value of or economic, governance or other powers and benefits of such Community Tokens) (including pursuant to any 'liquid staking' or similar arrangements);

(b) cannot be minted, generated, credited, assigned or otherwise come into existence without staking, converting, depositing, locking, burning or otherwise removing from circulation a proportional amount of Community Tokens; and

(c) cannot remain in existence except while the proportional amount of Community Tokens referred to in the preceding clause '(b)' remains staked, converted, deposited, locked, burned or otherwise removed form circulation.

For the avoidance of doubt, Representational Community Tokens includes "vote-escrowed" positions Community Tokens also known as 'veYFI' that have voting power in the DAO; and may include "bridged YFI" whereby YFI is represented on Blockchain Systems other than Ethereum, so long as the bridging Smart Contracts adhere to the criteria set forth above.

"***Security Threats***" means: (a) any actual or reasonably expected, threatened, imminent, pending or ongoing frauds, thefts, misappropriations, extortions, abuses, hacks, attacks, exploits, intrusions, abuses, malicious manipulations, griefings, denials-of-service, or adversarial freezings or impairments, or other similar misconduct against or dysfunction involving any of the Community Systems (or any software or system on which any of the Community Systems depends in whole or in part), in each case that could reasonably be expected to result in disruption or impairment of, harm to, misappropriation of other adverse effects on or damage to the Community Systems, any Blockchain Tokens created or constituted or held thereby or thereon or under the control or custody thereof, or any members of the

Community (collectively, "***Security Incidents***"); (b) any bugs, defects, or errors in the Community Systems (or any software or system on which any of the Community Systems depends in whole or in part) that could reasonably be expected to lead to a Security Incident (the matters described in this clause '(b),' "***Security Vulnerabilities***"); and (c) any actual or reasonably expected, threatened, imminent, pending or ongoing attempts, schemes or activities intended to obtain, consolidate, or exercise de facto or de jure control over the governance of the Community Systems or DAO or any related decentralized autonomous organization through coercive, manipulative, deceptive or opportunistic acquisition or aggregation of voting power, delegation or proposal rights (including, without limitation, accumulations of governance tokens, borrow-to-vote strategies, governance-focused flash-loan attacks, vote buying, coordinated vote splitting or other tactics analogous to corporate raiding, greenmail, hostile takeovers or proxy fights in traditional corporate contexts), in each case that could reasonably be expected to result in improper influence over or subversion of governance outcomes, unjust enrichment of the perpetrator(s), or other adverse effects on the Community Systems, any Blockchain Tokens, any members of the Community, or the BORG or Mandatory Autonomous Systems (the matters described in this clause '(c),' "***Governance Attacks***").

"***Smart Contract***" means any executable bytecodes (commonly known as 'smart contracts') deployed to Blockchain Systems for operation by node operators running validators, sequencers or similar network operators.

BORG BYLAWS

EXHIBIT B

BORG PARTICIPATION AGREEMENT

This BORG Participation Agreement (this "***Agreement***") is being executed and delivered by the person identified in the partyName variable and owning the private key for the partyBlockChainAddy variable set during the Adoption Procedures (as defined below) (the "***Undersigned***") and the Ychad.eth BORG, an exempted limited guarantee Foundation Company incorporated in the Cayman Islands with limited liability (the "***BORG***") as of the later date of the signatures below. Capitalized terms used but not defined herein shall have definitions that are ascribed to them in the Bylaws (as defined below).

By the execution of this Agreement, for good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the Undersigned hereby covenants and agrees as follows:

1 Agreement to Bylaws.

1.1 Through the Adoption Procedures, the Undersigned is hereby adopting, joining, becoming a party to, and acknowledging and agreeing to the terms and conditions of, and becoming bound by the Bylaws of the BORG a copy of which are attached hereto as Exhibit A (the "***Bylaws***"), as a 'BORG Personnel' who is an 'Ychad Multisig Member' of the Ychad Multisig. Without limiting the generality of the foregoing, the Undersigned hereby agrees to use all powers, privileges and rights the Undersigned may have in, under or by virtue of the Ychad Multisig solely in accordance with this Agreement, the Bylaws and for the Authorized Uses, applied in light of the Principles (as defined in the Bylaws).

1.2 "***Adoption Procedures***" means that the Undersigned has called the adoptBORGParticipationAgreement of the Ricardian Tripler, with such calls passing a single AgreementDetails struct and the execution and recording of the results of such calls being finalized (within commercially reasonable norms) on Ethereum, in each case, with the AgreementDetails struct including arguments for each of:

(a) the name of the BORG (BORGName string variable);

(b) the Party struct variable for the Undersigned, including the blockchain address which the Undersigned uses to participate in the Multisigs (partyBlockChainAddy address variable), name of the Undersigned (partyName string variable) (which may be a pseudonym if generally known to the Community) and contact details of the Undersigned (including an email address, Telegram username, and/or other details where the Undersigned can be notified by the BORG and BORG Personnel of relevant matters electronically) (contactDetails string variable); and

(c) an IPFS URI of this Agreement as the legalAgreementURI string variable.

1.3 "***Ricardian Tripler***" means the Smart Contract at address [___] on Ethereum.

2 Compensation. The Undersigned is agreeing to serve the BORG on a volunteer basis and is not entitled to any monetary compensation from the BORG.

3 Additional Multisig Schemes. The BORG may create, and the Undersigned may participate in, multiple Multisigs, and, except to the extent otherwise expressly agreed in writing by the BORG and the Undersigned, any Multisig created by the BORG and participated in by the Undersigned as Multisig Member therein shall automatically be deemed to be covered by the Bylaws and this Agreement.

4 Independent Contractor. The Undersigned is an independent contractor of the BORG, and nothing in this Agreement shall be construed as establishing an employment relationship between the BORG or the Undersigned (or, if the Undersigned is an entity, between the BORG and any director, officer, manager, employee, independent contractor, shareholder, debtholder, or representative, agent or fiduciary of the Undersigned (the Undersigned's "***Representatives***")).

5 Term.

5.1 The Undersigned's service to the BORG shall be "at-will" and may be terminated in accordance with the Bylaws with or without cause, without good reason, or without notice.

5.2 Upon any termination of the Undersigned's service to the BORG: (a) all of the BORG's obligations under Section 2 of this Agreement shall be deemed immediately terminated (other than the obligation to pay any accrued but unpaid amounts, pro-rated as applicable); (b) the Undersigned shall be required to use all means reasonably requested by or on behalf of the BORG to remove the Undersigned and the Undersigned's Representatives from all Multisigs; (c) the Undersigned's duties relevant to the safekeeping of the Undersigned's Key(s) shall continue until such Key has been de-permissioned from all Multisigs; and (d) all other obligations and Liabilities of the Undersigned under this Agreement and the Bylaws shall be deemed immediately terminated, waived and released, other than, if any, under the provisions of this Agreement or the Bylaws that by their nature are intended or customarily do survive a termination of contract (including confidentiality obligations) and any Liabilities for fraud (committed with scienter) or intentional and knowing breach of this Agreement or the Bylaws, which shall survive and be continuing. From and after any such termination, the Undersigned shall refrain from using the Undersigned's Key or otherwise exercising any of the rights, powers or privileges of the Undersigned under this Agreement or otherwise available to the Undersigned in connection with the Multisigs except to the extent explicitly requested otherwise in writing by the BORG.

6 No Partnership or Implied Entities/Duties/Agency. This Agreement, the Bylaws, and the matters contemplated hereby and thereby do not form, establish, or imply, and nothing contained herein or therein shall be deemed to form, establish or imply a joint venture, partnership, association, unincorporated association or other implied-at-law or implied-at-equity entity or arrangement between or involving the BORG, any of the BORG Personnel, the Undersigned, any of the Undersigned's Representatives, or the Community or any member thereof, or to create or imply any fiduciary duty or other duty not expressly set forth in this Agreement or the Bylaws other than the covenant of good faith and fair dealing under applicable contract law. None of the foregoing persons will be agent for any of the others or have any authority to make any contract, whether expressly or by implication, in the name of any the others, unless otherwise agreed in a separate written agreement between or among such persons. The Undersigned and the BORG may have other business relationships and fee arrangements with other persons, notwithstanding that such persons may conduct similar businesses or activities as or be competitive with the BORG or the Undersigned.

7 Governing Law; Dispute Resolution. Articles 7.1 and 7.2 of the Bylaws shall apply to this Agreement, *mutatis mutandis*, to determine the governing law and dispute resolution of this Agreement, as if set forth herein.

8 Notices. All notices shall be deemed sent when delivered in accordance with the

9 Successors and Assigns. The terms and conditions of this Agreement shall inure to the benefit of and be binding upon the Undersigned, the BORG, and their respective successors and assigns. Nothing in this Agreement, express or implied, is intended to confer upon any person other than the Undersigned and the BORG and their respective successors and assigns any rights, remedies, obligations or liabilities under or by reason of this Agreement, except as expressly provided in this Agreement.

10 Counterparts. This Agreement may be executed in any number of separate counterparts, each of which when executed and delivered shall be an original, but all of which together shall constitute one and the same instrument. A counterpart electronically signed via private key signature on Ethereum as described in the Adoption Procedures shall be deemed to have been duly and validly delivered and be valid and effective for all purposes.

11 Amendment. Except as otherwise expressly provided in this Agreement, any term of this Agreement may be amended, supplemented, terminated or waived only with the written consent of the BORG and the Undersigned; *provided, however,* that any amendment hereto relating to a matter that would otherwise require an amendment to the Bylaws shall not be permitted without obtaining the same consents thereto and approvals therefor that would be required for such an amendment to the Bylaws.

12 Severability. Any term or provision of this Agreement that is found invalid or unenforceable in any situation in any jurisdiction shall not affect the validity or enforceability of the remaining terms and provisions hereof or the validity or enforceability of the offending term or provision in any other situation or in any other jurisdiction. If a final judgment of a court of competent jurisdiction declares that any term or provision hereof is invalid or unenforceable, the court making such determination shall have the power to limit such term or provision, to delete specific words or phrases, or to replace any invalid or unenforceable term or provision with a term or provision that is valid and enforceable and that comes closest to expressing the intention of the invalid or unenforceable term or provision, and this Agreement shall be enforceable as so modified. In the event such court does not exercise the power granted to it in the prior sentence, such invalid or unenforceable term or provision shall be replaced with a valid and enforceable term or provision that will achieve, to the extent possible, the economic, business and other purposes of such invalid or unenforceable term or provision.

13 Waiver; Delays or Omissions. No delay or omission to exercise any right, power or remedy by the BORG or the Undersigned, upon any breach or default by the other, shall impair any such right, power or remedy of such non-breaching or non-defaulting party, nor shall it be construed to be a waiver of any such breach or default, or an acquiescence therein, or of or in any similar breach or default thereafter occurring; nor shall any waiver of any single breach or default be deemed a waiver of any other breach or default theretofore or thereafter occurring. Any waiver, permit, consent or approval of any kind or character on the part of the BORG or the Undersigned of any breach or default under this Agreement, or any waiver on the part of the BORG or the Undersigned of any provisions or conditions of this Agreement, must be in writing and shall be effective only to the extent specifically set forth in such writing. All remedies, either under this Agreement or by law or otherwise afforded shall be cumulative and not alternative.

14 Parties in Interest. None of the provisions of this Agreement are intended to provide any rights or remedies to any employee, creditor or other person other than the BORG, the Undersigned and their respective permitted successors and assigns (if any).

15 Entire Agreement. This Agreement constitutes the full and entire understanding and agreement between the Parties with respect to the subject matter hereof, and any other written or oral agreement relating to the subject matter hereof existing between the Parties are expressly voided.

16 Further Assurances. Each Undersigned shall execute and cause to be delivered to BORG such instruments and other documents, and shall take such other actions, as BORG may reasonably request for the purpose of carrying out or evidencing any of the matters contemplated by this Agreement.

17 Rules of Construction.

17.1 *Gender; Etc*. For purposes of this Agreement, whenever the context requires: the singular number shall include the plural, and vice versa; the masculine gender shall include the feminine and neuter genders; the feminine gender shall include the masculine and neuter genders; and the neuter gender shall include the masculine and feminine genders.

17.2 *Ambiguities*. The Parties hereto agree that any rule of construction to the effect that ambiguities are to be resolved against the drafting party shall not be applied in the construction or interpretation of this Agreement.

17.3 *No Limitation*. As used in this Agreement, the words "include," "including," "such as" and variations thereof, shall not be deemed to be terms of limitation, but rather shall be deemed to be followed by the words "without limitation." The word "or" shall mean the non-exclusive "or".

17.4 *References*. Except as otherwise indicated, all references in this Agreement to "Sections," "Schedules" and "Exhibits" are intended to refer to Sections of this Agreement and Schedules and Exhibits to this Agreement.

17.5 *Hereof*. The terms "hereof," "herein," "hereunder," "hereby" and "herewith" and words of similar import will, unless otherwise stated, be construed to refer to this Agreement as a whole and not to any particular provision of this Agreement.

17.6 *Captions*. The captions contained in this Agreement are for convenience of reference only, shall not be deemed to be a part of this Agreement and shall not be referred to in connection with the construction or interpretation of this Agreement.

17.7 *Person*. The term "person" refers to any natural born or legal person, entity, governmental body or incorporated or unincorporated association, partnership or joint venture.

BORG PARTICIPATION AGREEMENT

EXHIBIT A

BORG BYLAWS

[insert bylaws]

BORG BYLAWS

SCHEDULE 3.2.1

YCHAD MULTISIG DESCRIPTION

1. The Blockchain System to which the Ychad Multisig is deployed;
    a. Ethereum Mainnet (Chain ID 1).
2. The network address of the Ychad Multisig and the other Mandatory Autonomous Systems relating to the Ychad Multisig on such Blockchain System:

    0xFEB4acf3df3cDEA7399794D0869ef76A6EfAff52 on Ethereum (serving as proxy for the Smart Contract at 0xd9Db270c1B5E3Bd161E8c8503c55cEABeE709552 on Ethereum)
3. For each Ychad Multisig Member and each Ychad Multisig Proposer, at least one public key address corresponding to the Private Key of such Ychad Multisig Member that belongs to the Multisig Key Set for the Ychad Multisig; and at least one public key address for such Ychad Multisig Proposer used by such Ychad Multisig Proposer for purposes of interacting with the Ychad Multisig

0x6F2A8Ee9452ba7d336b3fba03caC27f7818AeAD6	Mariano Conti
0xeA6c0837fef621E77329f85820F503cA09f2B3a9	Leo Cheng
0x99BC02c239025E431D5741cC1DbA8CE77fc51CE3	Daryl Lau
0xf5D3dbda5F41A0E26D71B948e29522398e71cFaE	0xngmi
0x5Db9926c93085a92F14A85daBF6FF27b07362Cae	Ephy
0x2B888954421b424C5D3D9Ce9bB67c9bD47537d12	Lefteris Karapetsas
0xFe45baf0F18c207152A807c1b05926583CFE2e4b	Michael Egorov
0x962228a90eaC69238c7D1F216d80037e61eA9255	CryptoHarry
0x700F1a984C962b447CcDb95c4c2D8074C65098a3	Tapir
0x5E69fb460c9950F5AE90DafFc4C4F32EcafaCaA5	robowoofy (Ychad Multisig Proposer only)

4. The minimum number of Multisig Keys required to execute transactions through the Ychad Multisig (broken down by transaction type, in the event that different transaction types have different approval thresholds):
    - 6 of 9 (all transactions, except resignation (1 (the resigner)/9))
5. Any and all abilities, powers, and rights the Ychad Multisig has with respect to any Community Systems, including a technical and plain-English description of each function of each Community System over which the Ychad Multisig has privileged, elevated or exclusive access, power or authority and the intended uses thereof:
    - DAO-approved actions require Ychad Multisig approval or are subject to Ychad Multisig veto
    - Ychad Multisig security functions with respect to Yearn Vaults and Strategies (intended to be used to prevent, halt, or mitigate bugs or exploits), as further explained on Appendix 1 to this Schedule [***Note to draft:*** *discuss whether to add security incident standard.*]
    - In the event of sustained downtime of the DAO governance oracle used in the Mandatory Autonomous Systems, the Ychad Multisig can choose a new DAO governance oracle as set forth in Article 3.2.1.6 of the Bylaws.
6. Any and all abilities, powers, and rights the DAO or Community Systems or any other entity, Smart Contract or Blockchain System has with respect to the Ychad Multisig or other Mandatory Autonomous Systems, including a technical and plain-English description of each function of the Ychad Multisig or other Mandatory

Autonomous System over which the foregoing has privileged, elevated or exclusive access, power or authority and the intended uses thereof:

- Co-approve Ychad Multisig membership changes (other than resignation)
- Co-approve Mandatory Systems changes (e.g., changes to guards/modules of the Ychad Multisig or DAO snapshot space), except in the oracle downtime scenario referred to above.

9. A copy of or persistent link to the source code for Ychad Multisig and other Mandatory Autonomous Systems (unless such source code is ascertainable from the verified bytecode thereof on generally available blockchain explorers).

https://etherscan.io/address/0xfeb4acf3df3cdea7399794d0869ef76a6efaff52#code

https://etherscan.io/address/0xd9db270c1b5e3bd161e8c8503c55ceabee709552#code

[METALEX OS SYSTEMS CODE LINK]

APPENDIX 1 TO **SCHEDULE 3.2.1**

CERTAIN POWERS OF YCHAD MULTISIG OVER COMMUNITY SYSTEMS

yChad.eth refers to Yearn's 6-of-9 governance multisig (per YIP-81) which holds ultimate on-chain authority in the Yearn system. Through roles assigned to yChad or to other Yearn multisigs it controls (e.g. **dev.ychad.eth** as "Core Dev" guardian, **brain.ychad.eth** as strategist management), yChad can exercise a variety of emergency and administrative powers over Yearn vaults and strategies. Below we enumerate these powers – focusing on **Vault v2**, **Vault v3**, and **legacy v1** contracts that still hold user funds – with details on the contract, callable function, required role, and any conditions or constraints for each action.

Yearn V2 Vaults (Yield Vault v2 contracts and their Strategies)

- **Emergency Vault Shutdown (v2)** – *Contract:* Vault v2; *Function:* setEmergencyShutdown(bool active); *Role:* Yearn's **Guardian** (the dev.ychad.eth multisig) or **Governance** (yChad.eth) can call this. Setting active=true triggers the Vault's **Emergency Shutdown** mode. In this mode, deposits are halted and the vault stops allocating new funds to strategies, effectively "freezing" the vault to protect funds. After activation, all strategies' **credit allocation goes to 0** (no new capital sent out) and harvests will begin returning funds to the vault. This is used to quickly safeguard user assets in a crisis. (Reactivation by setting active=false is only allowed to governance – guardians can halt but typically cannot un-halt a vault without governance approval, a safeguard to prevent a rogue guardian from resuming operations prematurely.)
- **Revoke a Strategy (v2)** – *Contract:* Vault v2; *Function:* revokeStrategy(address _strategy); *Role:* **Guardian** (dev.ychad) or **Governance** (yChad) can call. This emergency action **removes an active strategy** from the vault. Revoking sets the strategy's debt limit to 0 immediately, preventing it from taking on or keeping any vault funds. The strategy will no longer receive additional capital, and on the next harvest() it is expected to return all funds to the vault. In practice, after calling revokeStrategy, Yearn governance will typically trigger a harvest to force the strategy to divest and send its holdings back to the vault. This power is used if a strategy is suspected to be faulty or risky – by revoking it, yChad (or the guardian it controls) can swiftly pull funds out of harm's way.
- **Strategy Emergency Exit (v2)** – *Contract:* **Strategy v2** (Yearn Strategy contract); *Function:* setEmergencyExit(); *Role:* **Vault governance** (yChad.eth), **vault guardian** (dev.ychad.eth), **vault management** (brain.ychad.eth), or the strategy's own **Strategist** can call this (all are considered "emergency authorized" roles). Setting a strategy's emergency exit flag tells the strategy to exit its position completely. Once this flag is set, the **very next harvest()** call on that strategy will attempt to liquidate **all** of its positions and return the assets to the vault, instead of the usual partial harvest. This two-step process (flag then harvest) is an on-chain fail-safe: for example, if a strategy's underlying platform is suspected to be compromised, Yearn's strategist multisig (or yChad itself) can call strategy.setEmergencyExit and then call strategy.harvest() to yank funds immediately. (Notably, the strategist role on each strategy is typically a Yearn team address, so Yearn has practical control over this action in emergencies.)
- **Forced Strategy Harvest (v2)** – *Contract:* Strategy v2; *Function:* harvest() (or harvest(uint256 maxDebt) in some versions); *Role:* **Keeper** bots normally call this, but Yearn **governance** or authorized roles can call it at any time as well. While not a privileged function (any keeper can trigger harvests), in an emergency Yearn can directly invoke harvest() on strategies to accelerate fund withdrawal. If the strategy's emergencyExit is true, the harvest() will **bypass normal yield logic and pull everything out** (using the strategy's liquidateAllPositions). Thus, yChad can effectively force an immediate divestment from all strategies by combining the above actions: revoke strategies / set emergency exit, then manually harvest each strategy to return all capital to the vault.
- **Withdrawal Queue Reordering (v2)** – *Contract:* Vault v2; *Function:* removeStrategyFromQueue(address _strategy) (and by extension, managing the setWithdrawalQueue(...)); *Role:* **Governance** (vault owner, i.e. yChad) typically manages this. Yearn v2 vaults maintain a withdrawal queue (an ordered list of strategies from which funds are withdrawn when users redeem vault shares). In an emergency, yChad can **reorder or remove strategies from this queue**. For example, if a particular strategy is unresponsive or illiquid, governance can call

removeStrategyFromQueue to take it out of the withdrawal rotation. This ensures user withdrawals skip the problematic strategy and pull from healthier strategies first. Removing or reordering strategies in the queue is an on-chain adjustment that can be done ad hoc to manage risk. (Yearn's docs note this as part of emergency response – the team's Strategist Lead will *"remove strategies from [withdrawal] queue"* when needed.)

- **Adjust Strategy Allocations (v2)** – *Contract:* Vault v2; *Functions:* updateStrategyDebtRatio(_strategy, _debtRatio), updateStrategyMinDebtPerHarvest, updateStrategyMaxDebtPerHarvest; *Role:* **Governance** (yChad) or **Management** (brain.ychad strategist multisig) can call these. These are administrative functions to fine-tune how much capital each strategy is allowed to use. In practice, Yearn's designated management multisig can **reduce a strategy's debt limit (even down to 0)** in real time. For example, if a strategy shows signs of trouble, management can quickly set its debtRatio to 0% to stop any additional funds from being deployed to it (essentially freezing its position size). This doesn't withdraw funds immediately, but it prevents further exposure and, combined with harvests, gradually winds the strategy down. Increasing or decreasing debt allocations is a routine tool (e.g. to rebalance strategies), but in emergencies it's used to **isolate a strategy by cutting off its credit**. (This is done via Yearn's on-chain updateStrategyDebtRatio call for v2 vaults.)
- **Pause New Deposits (v2)** – *Contract:* Vault v2; *Function:* setDepositLimit(uint256 newLimit); *Role:* **Governance** (yChad) or management can call. This function sets an upper bound on the total assets that can be deposited into the vault. By lowering the deposit limit (even down to the current TVL or to zero), Yearn governance can effectively **pause any new deposits** into a vault. This is an administrative safety measure – for instance, if an issue is identified, yChad can set the vault's deposit cap to the current amount to prevent additional user funds from entering until the issue is resolved. It's not as drastic as emergency shutdown (which also stops yield operations), but it's a preventative tool to stem growth during uncertainty.
- **Fee Configuration (v2)** – *Contract:* Vault v2; *Functions:* setManagementFee(uint256 fee), setPerformanceFee(uint256 fee); *Role:* **Governance** (yChad) controls these. Yearn v2 vaults charge fees (management fee on TVL and performance fee on profit). The yChad multisig can adjust these fee rates on-chain. While this is a general administrative power (e.g. to align with governance decisions or competitive landscape), it can also be relevant in certain scenarios – for example, setting fees to zero during an incident as a goodwill gesture or to ensure users can withdraw at no cost. Technically, yChad calls vault.setManagementFee() or vault.setPerformanceFee() with the new fee (in basis points) to update these parameters.
- **Role Reassignments (v2)** – *Contracts:* Vault v2 and Strategy v2; *Functions:* setGuardian(address newGuardian), setManagement(address newManagement) on the vault, and similarly setStrategist(address) or setKeeper(address) on strategies; *Role:* **Governance** (yChad) can change critical roles (or the current role-holder themselves, in some cases). This power allows Yearn to **rotate keys or replace signatories** if needed. For instance, yChad (governance) may call vault.setGuardian(newAddr) to assign a new emergency guardian (this could be used if the dev.ychad multisig is compromised or to hand off guardianship). Likewise, governance can assign a new management address for the vault (e.g. if the strategist multisig changes). On the strategy level, Yearn governance or the current strategist can transfer the strategist role to someone else via setStrategist(), and can update the keeper or rewards addresses. These administrative changes are crucial for maintaining control – for example, in an emergency involving a lost key, yChad can install a fresh address as guardian or strategist so that emergency functions remain accessible to trusted parties.
- **Token Sweep (v2)** – *Contract:* Vault v2; *Function:* sweep(address token, uint256 amount) (or sweep(token) in some versions); *Role:* **Governance** (yChad) only. This function lets governance **retrieve any ERC20 tokens mistakenly sent to the vault contract** (except the vault's base asset). In normal operations, users shouldn't send tokens directly to the vault address, but if any *"stuck"* tokens or dust remain (e.g. from an airdrop or a wrong transfer), yChad can sweep them out to the treasury. This is an administrative power to protect user funds – it prevents assets from being permanently locked in the contract. A real example was Yearn sweeping unexpected tokens to safety. (The vault's code disallows

sweeping of the primary want token to ensure governance cannot steal the underlying asset – only unrelated or excess tokens can be swept.)

- **Governance Transfer (v2)** – *Contract:* Vault v2; *Functions:* setGovernance(address newGov) + acceptGovernance(); *Role:* **Current Governance** (yChad) initiates, and the **new Governance** address must call accept to finalize. All Yearn v2 vaults have an on-chain mechanism to transfer the governance role. This two-step process prevents accidental loss of control: yChad can propose a new governance address (for example, a freshly formed multisig) and then that address calls acceptGovernance to take over. Until accepted, yChad can cancel or change its mind. This power hasn't been used often, but it's there for emergencies like migrating to a new multisig wallet if the old one is compromised or as part of planned governance upgrades. (Yearn's docs note that one can make changes *"until governance is accepted"* on a vault, highlighting that new governance doesn't take effect until the accept step is done.)
- **Strategy Migration (v2)** – *Contract:* Vault v2 (and Strategy); *Function:* migrateStrategy(address oldStrat, address newStrat); *Role:* **Governance** (yChad) initiates. This is a special function to facilitate moving funds from one strategy contract to a new replacement strategy. When called, the vault will withdraw all assets from the oldStrat and then transfer them to newStrat, effectively swapping strategies without user intervention. Governance uses this when upgrading a strategy's code or moving to a better strategy for the same asset. Conditions: the new strategy must be approved and ready, and usually the strategy contracts themselves have to handle receiving the funds. Additionally, Yearn governance will call oldStrat.setEmergencyExit() or similar beforehand to ensure it will return everything. Another aspect of strategy migration is **governance ownership of strategies** – often the Yearn multisig must call strategy.acceptGovernance() on a newly deployed strategy to assume control before adding it. All these steps are on-chain and under yChad's authority to execute, ensuring a smooth transition of TVL from an old strategy to a new one without users withdrawing. (Yearn's registry contract also has an endorseVault(vault) function called by yChad to mark new vaults as official, but that is more of a status flag than an admin power over vault behavior.)

Yearn V3 Vaults (Multi-Strategy Allocator Vaults and Tokenized Strategies)

- Yearn's v3 vaults introduced a modular role system for on-chain management. In v3, many functions are permissioned to specific roles, which can themselves be held by multisigs like yChad or other Yearn-controlled addresses. For official Yearn v3 deployments, typically a specialized Yearn multisig (e.g. the Security & Monitoring team's multisig) is assigned as the Owner/Manager, and **yChad.eth is designated as the Guardian (Emergency Manager)**. Additionally, yChad retains ultimate control via its ability to replace role assignments through the Role Manager. Below are the key powers:
- **Vault Shutdown / Pause (v3)** – *Contract:* Vault V3; *Function:* shutdown() (triggering **Emergency Mode**); *Role:* **Emergency Manager** role (held by yChad's multisig as Guardian). In Yearn v3, the Emergency Manager can **shut down a vault contract in emergencies**. When a vault is "shutdown", it stops normal operations – new deposits are rejected, and usually strategy allocation updates are halted. This is analogous to pausing the vault to protect funds. The Morpho Yearn vault documentation confirms *"Guardian: A role that can pause the vault in case of emergency (yChad is the guardian)"*. Once a vault is paused, typically only withdrawals (possibly with limits) would be allowed, and no new money or strategy actions can occur until governance (the Owner role) resumes operations. This power is used sparingly, only for severe situations, as it essentially freezes a vault to prevent any further damage.
- **Strategy Revocation (v3)** – *Contract:* Vault V3; *Function:* revokeStrategy(address strat) (normal removal); *Role:* **Revoke Strategy Manager** (usually the Yearn Owner or governance multisig holds this). Similar to v2, a v3 vault can remove a strategy from its roster. Calling revoke on a strategy will mark it as **revoked (inactive)**, preventing any further allocation of funds to it. Typically, the vault would attempt to withdraw the strategy's outstanding debt (either immediately or over time) once revoked. Yearn governance can use this to **isolate a bad strategy**. Notably, in v3 this action might be two-step: first revoke (which halts new investment), then separately call for withdrawal of funds (see "shutdownStrategy" below). The vault emits a StrategyChanged event with REVOKED status when this happens. Only addresses with the revoke permission (likely Yearn's management multisig or yChad via role manager) can do this, ensuring it's an authorized decision.

- **Forced Strategy Removal (v3)** – *Contract:* Vault V3; *Function:* forceRevokeStrategy (function name inferred from role); *Role:* **Force Revoke Manager** (a special emergency role). Yearn v3 explicitly defines a separate "force remove" capability, which **can remove a strategy even if it would incur a loss to the vault**. This is an extreme emergency action. Normally, revoking a strategy waits for it to return funds (no loss unless the strategy itself reports one). **Force-revoke**, on the other hand, can instantly mark the strategy as gone and accept whatever loss is currently on the books (for instance, if funds are irretrievable or an exploit is ongoing). This would socialize the loss to the vault but prevent further damage. The code's role enum shows FORCE_REVOKE_MANAGER as distinct from regular revoke. We can infer that yChad or its controlled multi would have this role in order to act quickly if a strategy needs to be abandoned. (For example, if a strategy got stuck in a blackhole contract, governance might choose to force-revoke it and write off that debt rather than keep the vault in limbo.)
- **Strategy Shutdown & Emergency Withdrawal (v3)** – *Contracts:* **TokenizedStrategy v3**; *Functions:* shutdownStrategy() and emergencyWithdraw(uint256 amount); *Role:* **Vault Management or Emergency Admin** (Yearn's allocator owner or a designated emergency address). In v3, each strategy is an ERC-4626 token that the vault funds. To emergency-exit a strategy on-chain, there is a **two-step process**: (1) call strategy.shutdownStrategy() to put the strategy in shutdown mode, and (2) call strategy.emergencyWithdraw(max) to pull out funds. Only an authorized manager (likely the vault's governance or an emergency admin role set by governance) can do this. Yearn's docs note *"Emergency Admin: [an] address that can call emergency functions on the strategy"* – this role, set by the vault's management, allows executing these functions. When shutdownStrategy() is called, the strategy will stop reinvesting and prepare for full exit (this action cannot be undone). Then, emergencyWithdraw(uint256) actually attempts to withdraw the specified amount (usually the **max uint** to withdraw everything) from the strategy's positions, bypassing normal yield logic. The strategy's internal code _emergencyWithdraw should liquidate as much as possible of its holdings immediately. This pair of actions is effectively a per-strategy "rug pull" (in the positive sense) initiated by Yearn to rescue funds. Conditions: the vault must mark the strategy as shut down first, and only then can funds be yanked; also, after doing this, the strategy is considered defunct. In summary, yChad (through its delegates) can directly trigger a strategy to exit completely and retrieve funds to the vault in an emergency, using these on-chain calls.
- **Dynamic Debt Allocation (v3)** – *Contract:* Vault V3; *Functions:* updateMaxDebt(strategy, newMax) and/or debt update via report() calls; *Role:* **Debt Manager** role (held by Yearn management multisig, but could be yChad if needed). V3 vaults don't use fixed debt ratios like v2; instead they have per-strategy debt ceilings and allow on-the-fly debt adjustments. Yearn governance can adjust how much each strategy is allocated or recall debt from strategies in real time. For instance, the address with the Debt Manager permission can call functions to **set a strategy's max debt to 0** (equivalent to cutting off further lending to that strategy) or can call an "update debt" operation to actively pull back funds. In practice, Yearn's automated allocators might handle routine rebalancing, but yChad retains the **administrative override**. In an emergency, governance could instruct the vault to set a particular strategy's max_debt to zero (stopping any new investment) and possibly initiate a report to withdraw current debt. The v3 roles enum explicitly lists MAX_DEBT_MANAGER and DEBT_MANAGER for these purposes. So, similar to v2's debt ratio adjustments, yChad can on-chain reduce a strategy's allowable capital to zero and thus isolate it. Moreover, if a strategy has excess debt, governance could use the **DebtPurchaser** role (see below) to resolve it.
- **Impose Withdrawal/Deposit Limits (v3)** – *Contract:* Vault V3; *Functions:* setDepositLimit(uint256), setWithdrawLimitModule(address) via their manager roles; *Role:* **Deposit Limit Manager** and **Withdraw Limit Manager** (configured by the RoleManager, likely held by governance or its delegate). By default, Yearn v3 vaults have a deposit limit (like v2) that governance can adjust up or down to control maximum TVL. YChad can lower the deposit_limit to restrict new deposits in real time (for example, set it to current assets to freeze intake). Uniquely, v3 also allows a **Withdraw Limit Module**: an optional hook to enforce limits or cooldowns on withdrawals. Out of the box, withdrawals are unrestricted (the default withdraw module is none, meaning users can withdraw any amount). However, Yearn governance could deploy a module (contract) that, say, only allows a certain percentage of vault assets to be withdrawn per block or imposes a time delay, and then set that module via UpdateWithdrawLimitModule. This power hasn't been exercised in normal operations, but it exists for **crisis scenarios** – if there's a fear

of a bank run or need to throttle withdrawals, yChad could install a withdrawal limiting contract. The HackMD notes for Yearn v3 even discuss the idea of implementing a cooldown on withdrawals in emergency shutdown situations. Thus, yChad has on-chain authority to **throttle or pause withdrawals** if absolutely needed (though this would likely require a rapid governance decision and careful use of the withdraw_limit_manager role). These tools add to the emergency arsenal: deposit caps to stop influx, and withdraw limits to manage outflows, all configurable by the multisig.

- **Fee and Profit Handling Settings (v3)** – *Contract:* Vault V3 (via Accountant module); *Functions:* e.g. setProtocolFee(uint256) or replace Accountant; *Role:* **Accountant Manager** (Yearn governance controlled). In V3, fees (performance fees) are handled by an Accountant contract. Yearn's governance multisig can change the accountant or tweak its parameters. For example, yChad can set the protocol fee percentage that the Accountant takes from profits during reports. Additionally, the **Profit Unlock** mechanism (which gradually unlocks profits for withdrawal over time) has a parameter profit_max_unlock_time which the governance can adjust via the ProfitUnlockManager role. In an emergency, if immediate access to all profits is needed (or conversely to lock down profits), yChad could reduce or increase that unlock time. While these are more operational settings, they are part of the admin powers: the multisig can on-chain adjust fees and profit distribution timing to respond to economic conditions or attacks (for instance, setting fees to 0 or unlocking profits faster to facilitate exits).
- **Role Management & Overrides (v3)** – *Contract:* Vault V3 (and RoleManager); *Function:* RoleSet / RoleStatusChanged events via RoleManager; *Role:* **Governance** (yChad as the project owner in RoleManager). Perhaps the most meta-power is that yChad ultimately controls *who holds each role* in a Yearn v3 vault. Through the RoleManager system, the Yearn governance multisig can assign or remove roles from addresses. For example, if an emergency requires bringing in a new address to handle something, yChad can grant that address the necessary role (like Emergency Manager or Debt Manager) on the fly. Conversely, if a key gets compromised, yChad can revoke that role from the compromised address, closing its access (the RoleStatusChanged: CLOSED event). Every privileged action in v3 is gated by roles – and yChad either directly holds those roles or has the authority to appoint someone who does. This means that *indirectly*, any on-chain power in v3 can be exercised by yChad because governance can always override the role assignments. For instance, if the primary allocator multisig (Owner) is unresponsive, yChad could step in via RoleManager to give itself the AddStrategy or Emergency roles and then perform the needed action. This modular design improves security, and yChad stands at the top of that hierarchy (it was the address that created the RoleManager with ultimate project control in Yearn's deployments).
- **Bad Debt Intervention (v3)** – *Contract:* Vault V3; *Function:* purchaseDebt(address strategy, uint256 amount) (internal mechanism); *Role:* **Debt Purchaser** role. This is a more specialized power: if a strategy incurs a loss (bad debt) that the vault recognizes, Yearn governance can authorize an address (for example, Yearn Treasury) to **purchase that debt from the vault**. The DebtPurchaser role allows an address to pay the vault to make it whole, in exchange for some consideration (possibly taking the strategy's residual assets or simply as a goodwill). While not commonly used, this on-chain role exists so that, say, Yearn Treasury (controlled by yChad) could inject funds to cover a shortfall in an emergency. It's another lever yChad holds: the ability to resolve insolvencies by effectively bailout out the vault via an on-chain call. (No known incidents have required this yet, but it's in the code as a contingency.)

Legacy v1 Vaults (deprecated Yearn v1, if any still hold TVL)

Most Yearn v1 vaults have been migrated or are empty, but in cases where legacy v1 contracts still have residual assets, the yChad multisig retains full control via the old governance mechanisms. Yearn v1 architecture used a **Controller** contract as the admin between a vault and its single strategy. Key powers included:

- **Approve / Revoke Strategies (v1)** – *Contract:* Controller (v1); *Functions:* approveStrategy(address token, address strat), revokeStrategy(address token, address strat); *Role:* **Governance** (yChad) only. In v1, each vault was tied to a specific token and one active strategy at a time. Governance had to whitelist strategies for a given vault's token via approveStrategy, and could remove approval via revokeStrategy. Revoking a strategy in v1 meant that the strategist could no longer invest funds in it. This was an emergency brake to stop a misbehaving strategy: once revoked, the Controller would prevent any further earn() calls to that strategy. YChad would use this if a v1 strategy was found to be risky, essentially **freezing it out**. (In practice, since v1 vaults only had one strategy at a time, revoking it halted all investment until a new strategy was set.)

- **Strategy Migration (v1)** – *Contract:* Controller (v1); *Function:* setStrategy(address vaultToken, address newStrategy); *Role:* **Governance** (yChad) initiates, but the Strategist role could also call if authorized. This function would **migrate a vault to a new strategy** contract. When called, the Controller would withdraw all funds from the old strategy and transfer them to the new one (since strategies in v1 hold the actual funds). Yearn governance would use setStrategy both for upgrades and during emergencies – e.g., if a strategy needed to be replaced quickly, yChad could deploy a safe fallback strategy and switch the vault to it, moving funds in one on-chain transaction. Only approved strategies can be set (hence the need to approveStrategy first). By controlling this, yChad could effectively pull funds from a dangerous strategy by swapping in a null or safe strategy (the Controller would call withdrawAll on the old one as part of this process).
- **Vault Reserve Control (v1)** – *Contract:* Vault v1; *Function:* setMin(uint256 minPercent); *Role:* **Governance** (yChad). The v1 vault had a parameter for the minimum fraction of funds to keep idle (not invested) to fulfill withdrawals. Governance could adjust this "min" threshold. In an emergency, yChad could set min very high (up to 100% of the vault) to force the vault to pull as much as possible out of the strategy and hold it in reserve for users. Essentially, by calling vault.setMin(10000) (100% in basis points), governance triggers the Controller to immediately withdraw all funds from the strategy to meet the new required idle balance. This was an effective **emergency withdraw mechanism** for v1: rather than a direct "pause," governance would maximize the vault's idle funds, causing an on-chain cascade to exit strategy positions. Lowering it back down would allow reinvestment, but in a crisis it would likely stay high until funds were secure.
- **Fee & Treasury Settings (v1)** – *Contract:* Controller (v1) and Strategies; *Functions:* setRewards(address) on Controller, setStrategist(address) on Strategy; *Role:* **Governance** (yChad). These let governance redirect where fees go (setRewards would change the address that accumulates fees – in v1 it was Yearn's Treasury contract), or update the strategist address (who has special strategy privileges). While routine, these can be important administratively – e.g., if the fee receiver (Treasury) needed to be changed in an emergency (say the current one was compromised), yChad could on-chain point the rewards to a new safe address. Changing a strategist could be necessary if a strategist's key was lost or to remove a malicious actor; yChad holds that power to maintain control over who can manage strategies.
- **Governance Contract Upgrades (v1)** – *Contract:* Vault & Controller (v1); *Function:* setGovernance(address); *Role:* **Governance** (yChad). Similar to v2, the v1 contracts allowed the governance address itself to be changed by the current governance. This means yChad could migrate governance to another multisig or address if needed. For example, during the transition to Governance 2.0 in 2021, such powers were used to hand off from the interim multisig to the new one. In any emergency where the yChad multisig had to be rotated out (due to security concerns), it could use setGovernance on all v1 components to install a new governance address, after which the new governance would acceptGovernance (if required by the contract). Thus, even in legacy systems, **yChad can ensure continuity of control** through on-chain role migration.

  References: The above powers and roles are drawn from Yearn's audited smart contracts, official documentation, and governance records. For example, Yearn's docs explicitly define the multisig's guardian role and emergency capabilities, and the v2 repository shows functions like setEmergencyShutdown, revokeStrategy, etc. that governance/guardian can call. Yearn's "Emergency Procedures" documentation outlines steps such as *"Revoke a Strategy"* and *"Set vault in emergency shutdown mode"* under multisig (guardian) execution, as well as strategist-led actions like setting emergency exit on strategies and updating debt allocations. The v3 design, as described in Yearn's forum and code, clearly gives yChad the Guardian (EMERGENCY_MANAGER) role to pause vaults, and a rich role-based control which ultimately falls under governance oversight. All these on-chain powers are implemented in the protocol's contracts and have been used or kept ready to **protect Yearn vault users** in critical scenarios.